

AM Best Rating Services

Lloyd's

BestLink 

AMB #: 085202 AIN #: AA1122000

Domiciliary Address

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Assigned to insurance companies that have, in our opinion, a superior ability to meet their ongoing insurance obligations.



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Based on AM Best's analysis, [051215 - Society of Lloyd's](#) is the **AMB Ultimate Parent** and identifies the topmost entity of the corporate structure. View a list of [operating insurance entities](#) in this structure.

Best's Credit Ratings

Financial Strength View Definition

Rating (Rating Category):	A+ (Superior)
Outlook (or Implication):	Stable
Action:	Affirmed
Effective Date:	July 31, 2025
Initial Rating Date:	October 01, 1997

Long-Term Issuer Credit View Definition

Rating (Rating Category):	aa- (Superior)
Outlook (or Implication):	Stable
Action:	Affirmed
Effective Date:	July 31, 2025
Initial Rating Date:	August 12, 2004

Financial Size Category View Definition

Financial Size Category:	XV (Greater than or Equal to USD 2.00 Billion)
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AMB Rating Unit

Best's Credit Rating Analyst

Rating Office: A.M. Best Europe - Rating Services Ltd.

Associate Director-Analytics: Kanika Thukral

Director-Analytics: Timothy Prince

Note: See the Disclosure information Form or Press Release below for the office and analyst at the time of the rating event.

Note: Credit Ratings on this company are [European Union Endorsed](#)

Disclosure Information

Disclosure Information Form

View AM Best's [Rating Disclosure Form](#)

Press Release

[AM Best Affirms Credit Ratings of Lloyd's, Its Rated Subsidiaries and Society of Lloyd's](#)
July 31, 2025

Note: This data record represents an **AMB Rating Unit** and the following Best's Credit Ratings are based on the consolidated financials assigned to this record.

AMB #	Company Name	Best's FSR	Best's ICR
078649	Lloyd's Insurance Company (China) Ltd	A+	aa-
095926	Lloyd's Insurance Company S.A.	A+	aa-

u Denotes [Under Review Best's Rating](#)

Rating History

A.M. Best has provided ratings & analysis on this company since 1997.

Financial Strength Rating

Effective Date	Rating
July 31, 2025	A+
August 07, 2024	A+
July 27, 2023	A
July 15, 2022	A
July 21, 2021	A

Long-Term Issuer Credit Rating

Effective Date	Rating
July 31, 2025	aa-
August 07, 2024	aa-
July 27, 2023	a+
July 15, 2022	a+
July 21, 2021	a+

Related Financial and Analytical Data

The following links provide access to related data records that AM Best utilizes to provide financial and analytical data on a consolidated or branch basis.

AMB #	Company Name	Company Description
092160	Lloyd's (Switzerland Branch)	Represents the Property/Casualty financials for the Switzerland Branch of this legal entity.
087100	Lloyd's Underwriters CAB	Represents the Property/Casualty financials for the Canada Branch of this legal entity.
004093	Underwriters at Lloyd's, London (KY)	Represents Property/Casualty business of this legal entity.
022616	Underwriters at Lloyd's, London (VI)	Represents Property/Casualty business of this legal entity.
000565	Underwriters at Lloyd's, London (IL)	Represents Property/Casualty business of this legal entity.

Best's Credit & Financial Reports



[Best's Credit Report](#) - financial data included in Best's Credit Report reflects the data used in determining the current credit rating(s).



[Best's Credit Report - Archive](#) - reports which were released prior to the current Best's Credit Report.



[Best's Financial Report](#) - financial data included in Best's Financial Report reflects the most current data available to AM Best, including updated financial exhibits and additional company information, and is available to subscribers of Best's Insurance Reports.



[Best's Financial Report - Archive](#) - reports which were released prior to the current Best's Financial Report.

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Press Releases

Date	Title
Aug 08, 2025	AM Best Affirms Credit Ratings of Lloyd's Syndicate 2001
Aug 06, 2025	AM Best Affirms Credit Ratings of Lloyd's Syndicate 3000
Aug 01, 2025	AM Best Affirms Credit Ratings of Beazley's Lloyd's Syndicates and Beazley plc Subsidiaries
Jul 31, 2025	AM Best Affirms Credit Ratings of Lloyd's, Its Rated Subsidiaries and Society of Lloyd's
Apr 25, 2025	AM Best Revises Outlooks to Positive for SiriusPoint Ltd. and Its Subsidiaries
Mar 21, 2025	AM Best Assigns Credit Ratings to IQW Re Bermuda Limited
Mar 06, 2025	AM Best Affirms Credit Ratings of CanopiUS Insurance, Inc. and CanopiUS Reinsurance Limited
Mar 04, 2025	AM Best Affirms Credit Ratings of Marco Re Limited

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GUIDE TO BEST'S FINANCIAL STRENGTH RATINGS – (FSR)

A Best's Financial Strength Rating (FSR) is an independent opinion of an insurer's financial strength and ability to meet its ongoing insurance policy and contract obligations. An FSR is not assigned to specific insurance policies or contracts and does not address any other risk, including, but not limited to, an insurer's claims-payment policies or procedures; the ability of the insurer to dispute or deny claims payment on grounds of misrepresentation or fraud; or any specific liability contractually borne by the policy or contract holder. An FSR is not a recommendation to purchase, hold or terminate any insurance policy, contract or any other financial obligation issued by an insurer, nor does it address the suitability of any particular policy or contract for a specific purpose or purchaser. In addition, an FSR may be displayed with a rating identifier, modifier or affiliation code that denotes a unique aspect of the opinion.

Best's Financial Strength Rating (FSR) Scale

Rating Categories	Rating Symbols	Rating Notches*	Category Definitions
Superior	A+	A++	Assigned to insurance companies that have, in our opinion, a superior ability to meet their ongoing insurance obligations.
Excellent	A	A-	Assigned to insurance companies that have, in our opinion, an excellent ability to meet their ongoing insurance obligations.
Good	B+	B++	Assigned to insurance companies that have, in our opinion, a good ability to meet their ongoing insurance obligations.
Fair	B	B-	Assigned to insurance companies that have, in our opinion, a fair ability to meet their ongoing insurance obligations. Financial strength is vulnerable to adverse changes in underwriting and economic conditions.
Marginal	C+	C++	Assigned to insurance companies that have, in our opinion, a marginal ability to meet their ongoing insurance obligations. Financial strength is vulnerable to adverse changes in underwriting and economic conditions.
Weak	C	C-	Assigned to insurance companies that have, in our opinion, a weak ability to meet their ongoing insurance obligations. Financial strength is very vulnerable to adverse changes in underwriting and economic conditions.
Poor	D	-	Assigned to insurance companies that have, in our opinion, a poor ability to meet their ongoing insurance obligations. Financial strength is extremely vulnerable to adverse changes in underwriting and economic conditions.

* Each Best's Financial Strength Rating Category from "A+" to "C" includes a Rating Notch to reflect a gradation of financial strength within the category. A Rating Notch is expressed with either a second plus "+" or a minus "-".

Financial Strength Non-Rating Designations

Designation Symbols	Designation Definitions
E	Status assigned to insurers that are publicly placed, via court order into conservation or rehabilitation, or the international equivalent, or in the absence of a court order, clear regulatory action has been taken to delay or otherwise limit policyholder payments.
F	Status assigned to insurers that are publicly placed via court order into liquidation after a finding of insolvency, or the international equivalent.
S	Status assigned to rated insurance companies to suspend the outstanding FSR when sudden and significant events impact operations and rating implications cannot be evaluated due to a lack of timely or adequate information; or in cases where continued maintenance of the previously published rating opinion is in violation of evolving regulatory requirements.
NR	Status assigned to insurance companies that are not rated; may include previously rated insurance companies or insurance companies that have never been rated by AM Best.

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Version 121719



Underwritten by: Nexus Specialty Inc on behalf of certain Underwriters at Lloyd's
London, under Binding Authority Unique Market Reference B1820WLS25D956

NEXUS CYBER POLICY DECLARATIONS

NOTICE: THE COVERAGE PROVIDED UNDER THIS POLICY IS LIMITED TO ONLY THOSE CLAIMS, EXTORTION EVENTS OR RANSOMWARE THREATS FIRST MADE; OR EVENTS FIRST DISCOVERED DURING THE POLICY PERIOD OR ANY APPLICABLE EXTENDED REPORTING PERIOD. THE LIMIT OF LIABILITY/ INSURANCE TO PAY LOSS WILL BE REDUCED AND MAY BE EXHAUSTED BY CLAIM EXPENSES, AND CLAIM EXPENSES WILL BE APPLIED AGAINST THE RETENTION(S). THE INSURER WILL NOT BE LIABLE FOR LOSS, INCLUDING CLAIM EXPENSES, IN EXCESS OF THE APPLICABLE LIMIT OF LIABILITY/ INSURANCE.

PLEASE READ THE ENTIRE POLICY CAREFULLY AND DISCUSS THE COVERAGE HEREUNDER WITH YOUR INSURANCE AGENT OR BROKER.

ITEM 1

NAMED INSURED AND ADDRESS	
DAKOTALAND FEEDS, L.L.C. 674 WESTPARK AVE HURON, SD 57350	
POLICY NUMBER	UNDERWRITER
O5196DCYA260	Certain Underwriters at Lloyd's, London (not incorporated)

ITEM 2

POLICY PERIOD: FROM 02/20/2026 TO 02/20/2027
12:01 A.M. LOCAL TIME AT THE ADDRESS OF THE NAMED INSURED SHOWN ABOVE

ITEM 3

CONTINUITY DATE: 02/20/2026
12:01 A.M. LOCAL TIME AT THE ADDRESS OF THE NAMED INSURED SHOWN ABOVE

ITEM 4

PRODUCER:
A. Producer Brokerage AmWINS Brokerage of Illinois, LLC

ITEM 5

EXTENDED REPORTING PERIOD:
A. One (1) year 100% of the Annualized Premium in ITEM 9 below
B. Two (2) years 160% of the Annualized Premium in ITEM 9 below
C. Three (3) years 210% of the Annualized Premium in ITEM 9 below

ITEM 6

WAITING PERIOD:

8 Hours

ITEM 7 PERIOD OF RESTORATION:

Business Interruption:	270 days
Dependent Business Interruption:	270 days
Reputational Damage:	270 days

ITEM 8 NOTICE TO UNDERWRITER:

Claim , Event, System Failure, Reputational Harm Incident, Extortion Event, Ransomware Threat, Cyber Crime Event, Cryptojacking Attack, or circumstance that could give rise to a **Claim**, and any **Proof of Loss**:

Breach Coach: McDonald Hopkins LLP

24 / 7 Hotline: In the event of an actual or suspected cyber incident please call our Breach Coach on the toll free 24-hour hotline number: 1-833-43-NEXUS

All Other Notices:

Submit to NSIClaims@nexusunderwriting.com

ITEM 9 POLICY PREMIUM: \$7,017.00

Surplus Lines Tax:

To be administered and paid by the insured at the following rates:

- South Dakota Surplus Lines Tax of 2.5%

Applied on the taxable proportion of the premium payable in accordance with the Declarations

ITEM 10 LIMITS, RETENTIONS AND RETROACTIVE DATES:

Maximum Policy Aggregate Limit

- I. Maximum Policy Aggregate Limit for all **Loss**, subject to the Aggregate Limits in \$1,000,000
III. below:

Aggregate Retention

- II. Maximum amount required for Retentions under all Insuring Agreements \$10,000
combined, subject to the Retentions in III. below:

Third Party and First Party Aggregate Limits

- III. If any of the coverages described below are left blank or "N/A" is indicated, such coverage including any applicable Insuring Agreement, Limit of Liability/Insurance, Sublimit of Liability/Insurance or Additional Limit of Liability/Insurance, and any other reference thereto are deleted from the policy.

Insuring Agreement	Limit	Retention	Retroactive Date
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A. Third Party Liability Coverages					
A.1	Privacy and Security Liability	\$1,000,000 \$1,000,000	each Claim in the aggregate	\$10,000	Full Prior Acts
A.2	Privacy Regulatory Defense	\$1,000,000 \$1,000,000	each Claim in the aggregate	\$10,000	Full Prior Acts
A.3	PCI-DSS Loss	\$1,000,000 \$1,000,000	each Claim in the aggregate	\$10,000	Full Prior Acts
A.4	Multimedia Liability	\$1,000,000 \$1,000,000	each Claim in the aggregate	\$10,000	Full Prior Acts
A.5	Contingent Bodily Injury and Property Damage	\$250,000 \$250,000	each Claim in the aggregate	\$10,000	Full Prior Acts
B. First Party Coverages					
B.1	Breach Response	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.1a	Computer Forensic Costs	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.1b	Notification Expenses	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.1c	Breach Legal and Consulting Fees	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.1d	Public Relations Expenses	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.1e	Post Security Incident Remediation Costs	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.2	Cyber Extortion & Ransomware	\$1,000,000 \$1,000,000	each Extortion Event / Ransomware Threat in the aggregate	\$10,000	Full Prior Acts
B.3	Data Recovery	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.4	Hardware Replacement	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.5	Business Interruption Loss and Extra Expense This company has been approved by the director or his designee of the South Carolina Department of Insurance to write business in this State as an eligible surplus lines insurer, but it is not afforded guaranty fund protection.	\$1,000,000	in the aggregate	amount of Business Interruption Loss Incurred during Waiting Period	Full Prior Acts
B.6	Dependent Business Interruption Loss	\$1,000,000	in the aggregate	amount of Dependent Business Interruption Loss Incurred during	Full Prior Acts

				Waiting Period	
B.7	Reputational Damage	\$1,000,000 \$1,000,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.8	Proof of Loss Preparation Costs	\$150,000 \$150,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9	Cyber Crime	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9a	Computer Fraud	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9b	Social Engineering	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9c	Invoice Manipulation	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9d	Telecommunication Fraud	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9e	Social Engineering of Client Funds	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9f	Social Engineering Theft of Management Funds	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.9g	Funds Transfer Fraud	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts
B.10	First Response	\$250,000 \$250,000	each Event in the aggregate	\$10,000	Full Prior Acts

Supplemental Coverages

IV. If any of the supplemental coverages described below are left blank or "N/A" is indicated, such coverage including any applicable Insuring Agreement, Sublimit of Liability/Insurance, and any other reference thereto are deleted from the policy.

Insuring Agreement	Limit	Retention
C.1 Court Attendance Costs	\$250,000 \$250,000	each day in the aggregate
C.2 Criminal Reward	\$250,000	in the aggregate
C.3 Cryptojacking	\$1,000,000 \$1,000,000	each Event in the aggregate

ITEM 11 Insurers and Quota Share Percentage

Capacity Name	Quota Share %
Hamilton Syndicate 4000	32.5
SCOR Syndicate 2015	15
Tokio Marine Kiln Syndicate 0510	32.5
Brit Syndicate 2987	20

ITEM 12 **FORMS AND ENDORSEMENTS APPLICABLE TO THIS POLICY ON THE DATE THIS
POLICY IS ISSUED**

See attached Schedule of Forms and Endorsements

These Declarations, together with the Application, Nexus Cyber Policy, and any written endorsement(s) attached thereto, shall constitute the contract between the Insured and the Underwriter.

Policy Attachments:

Coverage
Nexus Cyber Policy, NCP 2025 V1.0 NCP 0002 Breach Response Outside Limit NCP 0003 Bodily Injury and Property Damage – 1st Party NCP 0004 Affirmative AI Coverage Clarification Endorsement NCP 0005 HIPAA Corrective Action Plan Endorsement NCP 0010 Law Enforcement Cooperation Endorsement NCP 0013 TCPA Defense Expenses NCP 0016 1st Party And 3rd Party Mitigation Expense NCP 0019 Dependent Business Interruption (Non-It Providers) NCP 0099 Prior Knowledge Exclusion Endorsement PCY-00109 Disclosure Pursuant To Terrorism Risk Insurance Act PCY-00110 Cap On Losses From Certified Acts Of Terrorism Endorsement LMA 5096 Several Liability Clause LMA 9077 South Dakota Surplus Lines Notice NMA1331 Cancellation notice LMA5020B Service of Suit Clause (U.S.A) LMA3100 Sanction Limitation and Exclusion Clause

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0002	02/20/2026	O5196DCYA260

BREACH RESPONSE OUTSIDE LIMIT

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged, it is hereby understood and agreed that the Policy is amended as follows:

Breach Response Outside Limit SCHEDULE

COVERAGE	LIMIT OF INSURANCE
Additional Breach Response Limit	\$1,000,000 Aggregate

1. ADDITIONAL BREACH RESPONSE LIMIT

The **Insurer** will pay the **Additional Breach Response Limit** incurred by the **Insured Organization** to respond to a **Cyber Incident** or **Privacy and Security Incident** first **Discovered** during the **Policy Period**, subject to the Aggregate Retention set forth in Item 10.II. of the Declarations. The **Additional Breach Response Limit** is in addition to and shall not erode the Maximum Policy Aggregate Limit.

2. APPLICATION OF ADDITIONAL BREACH RESPONSE LIMIT

A. The **Additional Breach Response Limit** shall apply solely to the following components of **Cyber Incident Loss** as defined in Section II.15 of the Policy:

- i. **Computer Forensic Costs**
- ii. **Notification Expenses**
- iii. **Breach Legal and Consulting Fees**

B. The **Additional Breach Response Limit** shall be:

1. One single additional limit of insurance applicable solely to the costs described in Section II.A above regardless of the number of **Cyber Incidents** or **Privacy and Security Incidents** discovered during the **Policy Period**; and

2. In addition to, and not part of, the Insuring Agreement I.B.1. Breach Response Limit stated in the Declarations and the Maximum Policy Aggregate Limit.
- C. The **Insured Organization** may, at its discretion, elect to have any costs described in Section II.A above apply to either:
1. The **Additional Breach Response Limit**; or
 2. The Insuring Agreement I.B.1. Breach Response Limit, if still available.
- This election may be made after satisfaction of the Aggregate Retention set forth in Item 9.II. of the Declarations.
- D. Upon exhaustion of the **Additional Breach Response Limit**, any further payment by the **Insurer** of costs described in Section II.A above shall:
1. Be part of, and not in addition to, the Insuring Agreement I.B.1. Breach Response Limit; and
 2. Reduce, and may exhaust, the Insuring Agreement I.B.1. Breach Response Limit and the Maximum Policy Aggregate Limit.

3. GENERAL PROVISIONS

- A. All **Cyber Incidents** and **Privacy and Security Incidents** involving **Related Acts** shall be considered a single incident first **Discovered** on the date the first such incident is **Discovered** by a member of **Management**, for purposes of the **Additional Breach Response Limit**.
- B. The Aggregate Retention set forth in Item 10.II. of the Declarations shall apply to coverage under this endorsement. Once the Aggregate Retention has been satisfied, the **Insured Organization** shall have access to both:
1. The remaining coverage under the Maximum Policy Aggregate Limit; and
 2. The full **Additional Breach Response Limit**.
- C. The definitions, terms, conditions, and exclusions of the Policy apply to the coverage provided by this Endorsement, unless modified herein.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0003	02/20/2026	O5196DCYA260

BODILY INJURY AND PROPERTY DAMAGE – 1ST PARTY

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged, it is hereby understood and agreed that the Policy is amended as follows:

1. Item 10 of the Declarations is amended to include the following:

Bodily Injury and Property Damage – 1st Party

Insuring Agreement	Limit of Insurance	Retention
Bodily Injury and Property Damage – 1st Party	\$250,000 Aggregate	\$10,000 Each Event

2. Section I.B. FIRST PARTY COVERAGES is amended by the addition of the following Insuring Agreement:

Direct Bodily Injury and Property Damage

The **Insurer** will pay for **Direct Bodily Injury and Property Damage Expenses** incurred by an **Insured Organization** resulting directly from a **Cyber Incident** first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

3. Section II. DEFINITIONS is amended by the addition of the following definition:

Direct Bodily Injury and Property Damage Expenses means reasonable and necessary first-party costs and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, to remediate, mitigate, or respond to:

- a. actual bodily injury, sickness, disease, or death of any **Insured Organization's** director, officer, employee, or other person physically present on the **Insured Organization's** premises; or
- b. actual physical damage to, destruction of, or loss of use of tangible property owned, leased, or otherwise under the operational control of an **Insured Organization**; provided such bodily injury or property damage directly results from a **Cyber Incident** affecting an **Insured Organization's Computer Systems**.

Direct Bodily Injury and Property Damage Expenses include:

- a. emergency medical expenses;
- b. costs to repair or replace damaged tangible property owned by the **Insured Organization**;
- c. temporary facility costs necessitated by damage to the **Insured Organization's** premises;
- d. costs of emergency response services; and
- e. other similar expenses incurred directly by the **Insured Organization**.

Direct Bodily Injury and Property Damage Expenses do not include:

- a. any amounts covered under Insuring Agreement I.A.5. Contingent Bodily Injury and Property Damage;
- b. any amounts constituting **Damages** paid or payable to third parties;
- c. any **Claim Expenses**;
- d. any costs or expenses for hardware or software upgrades, improvements, or remediation beyond restoration to the pre-incident state;
- e. any amounts constituting **Business Interruption Loss** or **Dependent Business Interruption Loss**;
- f. any wages, benefits, or overhead of the **Insured Organization**; or
- g. any regulatory fines, penalties, or assessments.

4. The following is added to Section IV. RELATED INCIDENTS:

- D. If a **Cyber Incident** results in both a **Claim** covered under Insuring Agreement I.A.5. Contingent Bodily Injury and Property Damage and **Direct Bodily Injury and Property Damage Expenses** covered under Insuring Agreement I.B. Direct Bodily Injury and Property Damage, any payment made under one Insuring Agreement shall reduce the

available limits under the other Insuring Agreement to the extent the loss arises from the same **Cyber Incident**.

5. For purposes of the coverage provided under Insuring Agreement I.B Direct Bodily Injury and Property Damage only, the following exclusions under Section V. EXCLUSIONS shall not apply:
 - a. Exclusion E. Bodily Injury
 - b. Exclusion Y. Property Damage

However, these exclusions shall continue to apply to all other Insuring Agreements, including Insuring Agreement I.A.5. Contingent Bodily Injury and Property Damage.

6. In addition to the exclusions in Section V. EXCLUSIONS, with respect to Insuring Agreement I.B. Direct Bodily Injury and Property Damage, this Policy shall not apply to:
 - a. Any **Claim** or demand made against an **Insured** by a third party;
 - b. Any liability to third parties for bodily injury or property damage, which is covered exclusively under Insuring Agreement I.A.5. Contingent Bodily Injury and Property Damage;
 - c. Any bodily injury or property damage not directly resulting from a **Cyber Incident** affecting an **Insured Organization's Computer Systems**;
 - d. Any bodily injury or property damage to the extent coverage is provided by the **Insured Organization's** property, casualty, general liability, workers' compensation, or other insurance policies; or
 - e. Any costs or expenses incurred to update, upgrade, or improve any property, premises, or systems beyond their condition immediately prior to the **Cyber Incident**.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0004	02/20/2026	O5196DCYA260

AFFIRMATIVE AI COVERAGE CLARIFICATION

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged for this Policy it is hereby understood and agreed that:

1. The following Definitions in SECTION II. DEFINITIONS are amended by adding the language shown below without deleting or replacing any existing policy language:

12. Cyber Crime Event In addition to all existing provisions within this definition, the following sub-definitions are enhanced as follows:

- a. Computer Fraud** - is expanded to include incidents involving the use of artificial intelligence technologies to compromise, misuse, or gain unauthorized access to an **Insured Organization's Computer Systems**
- b. Social Engineering** - is expanded to include deception facilitated by AI-generated deepfakes, voice synthesis, or other synthetic content created to impersonate authorized parties.
- c. Invoice Manipulation** - is expanded to include manipulation conducted using AI tools or systems.
- d. Telecommunications Fraud** - is expanded to include fraud perpetrated using AI voice synthesis or other AI technologies.
- e. Social Engineering of Clients Funds** - is expanded to include social engineering facilitated by AI technologies that create convincing impersonations.
- f. Social Engineering Theft of Management Funds** - is expanded to include theft through the use of AI-enabled impersonation technologies.
- g. Funds Transfer Fraud** - is expanded to include fraud involving AI-powered impersonation or synthesized communications.

14. Cyber Incident In addition to all existing provisions within this definition, **Cyber Incident** is expanded to include:

g. incidents outlined in a. to f. above involving artificial intelligence technologies, including unauthorized or malicious use of AI systems, AI system malfunctions, AI-powered cyber attacks, and data breaches facilitated by AI technologies.

27. Extortion Event In addition to all existing provisions within this definition, **Extortion Event** is expanded to include threats that utilize or are facilitated by AI technologies.

56. Privacy and Security Incident In addition to all existing provisions within this definition, **Privacy and Security Incident** is expanded to include: g. incidents outlined in a. to f. above involving artificial intelligence technologies, including unauthorized access to **Protected Personal Information** through AI systems, privacy violations resulting from AI-based data processing or profiling, and security breaches facilitated by AI technologies.

60. Ransomware Threat In addition to all existing provisions within this definition, **Ransomware Threat** is expanded to include threats that utilize or are facilitated by AI technologies.

2. The Policy provides coverage for **Claims, Events, Extortion Events, Ransomware Threats, or Losses** that involve, result from, or are facilitated by artificial intelligence technologies, provided that such **Claims, Events, Extortion Events, Ransomware Threats, or Losses** otherwise qualify for coverage under the terms and conditions of the Policy. No Exclusion in Section V shall apply to a **Claim** or **Loss** solely because artificial intelligence was involved in the incident, unless specifically stated to the contrary.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0005	02/20/2026	O5196DCYA260

HIPAA CORRECTIVE ACTION PLAN ENDORSEMENT

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged for this Policy it is hereby understood and agreed that:

- Item 10 of the Declarations is amended by the addition of the following:

HIPAA CORRECTIVE ACTION PLAN SCHEDULE

Coverage	Limit of Insurance	Retention
HIPAA Corrective Action Plan	\$100,000 Aggregate	\$10,000 Each Event/Claim

- The following is added to Section I.C. SUPPLEMENTAL COVERAGES:

HIPAA CORRECTIVE ACTION PLAN

The **Insurer** will pay on behalf of an **Insured Organization** all **HIPAA Corrective Action Plan Costs** incurred by an **Insured Organization** as a direct result of a **Cyber Incident** or **Privacy and Security Incident** first **Discovered** during the **Policy Period**, reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events, and where such **Cyber Incident** or **Privacy and Security Incident** has resulted in a **HIPAA Corrective Action Plan**.

- The following definitions are added to Section II. DEFINITIONS:

HIPAA Corrective Action Plan means a written plan required by the U.S. Department of Health and Human Services, Office for Civil Rights, that an **Insured Organization** must implement to address potential violations of the Health Insurance Portability and Accountability Act of 1996 (HIPAA) or the Health Information Technology for Economic and Clinical Health Act (HITECH).

HIPAA Corrective Action Plan Costs means reasonable and necessary costs, fees and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, to comply with a **HIPAA Corrective Action Plan**, including but not limited to:

- the development of HIPAA-compliant information security document sets;
- the completion of a HIPAA compliance audit;
- costs associated with completing an information security risk assessment; or

d) costs associated with the implementation of a security awareness training program.

HIPAA Corrective Action Plan Costs do not include:

- a) fines, penalties or sanctions imposed against an **Insured Organization**;
- b) taxes imposed against an **Insured Organization**;
- c) costs incurred by an **Insured Organization** to comply with any order for non-monetary (including injunctive) relief;
- d) disgorgement of profits, accounting of profits, or other compensation paid to which an **Insured** was not legally entitled; or
- e) amounts not insurable under the law pursuant to which this Policy shall be construed.

4. **HIPAA Corrective Action Plan Costs** are added to the definition of **Loss** under Section II. DEFINITIONS.

5. For purposes of the coverage provided by this endorsement, the **HIPAA Corrective Action Plan Costs** shall be part of and not in addition to the Maximum Policy Aggregate Limit. The HIPAA Corrective Action Plan Limit shown in 1. SCHEDULE OF COVERAGE above is a sublimit and represents the maximum amount the **Insurer** will pay for all **HIPAA Corrective Action Plan Costs** combined.

6. For purposes of the coverage provided by this endorsement, the following exclusion is added to Section V. EXCLUSIONS:

HIPAA/HITECH Prior Non-Compliance

This Policy does not apply to any **HIPAA Corrective Action Plan Costs** based upon, arising out of, or attributable to any actual or alleged:

- 1. **Cyber Incident** or **Privacy and Security Incident** that occurred prior to the **Retroactive Date**; or
- 2. non-compliance with HIPAA or HITECH that was known to any member of **Management** prior to the inception date of the first NEXUS Cyber Policy issued by the **Insurer**.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0010	02/20/2026	O5196DCYA260

LAW ENFORCEMENT COOPERATION

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged for this Policy it is hereby understood and agreed that:

1. Notwithstanding anything in Section VI. REPORTING OF CLAIMS AND EVENTS to the contrary, this Policy is amended by the addition of the following:

- A. If an **Insured** receives a request from a law enforcement authority to keep certain information about an actual or suspected **Cyber Incident, Privacy and Security Incident, Information Security Breach, Multimedia Liability Wrongful Act, Event, Extortion Event, or Ransomware Threat** confidential, and is unable to provide written notice to the **Insurer** pursuant to Section VI. due to such request, then notice of such **Incident** will be considered timely under this Policy if:
 1. The **Insured** requests permission from such law enforcement authority to share such information with the **Insurer** as soon as practicable following the receipt of such a request;
 2. The **Insured** only withholds from the **Insurer** that portion of the information that the law enforcement authority has instructed such **Insured** not to share with the **Insurer**; and
 3. The **Insured** provides the **Insurer** with a full notice of such **Cyber Incident, Privacy and Security Incident, Information Security Breach, Multimedia Liability Wrongful Act, Event, Extortion Event, Ransomware Threat, or Claim** as soon as legally permitted after the law enforcement authority permits such **Insured** to share the full notice.
- B. Furthermore, with respect to any failure or delay by the **Insured** in providing information to the **Insurer** following receipt of a law enforcement authority request as set forth in part A) of this endorsement:
 1. The **Insured's** failure to provide documentation to the **Insurer**, or otherwise cooperate with the **Insurer**, will not be the basis for a denial of coverage for any **Incident** under this Policy, but only to the extent the procedure set forth in part A) of this endorsement is followed in connection with such law enforcement request.

Notwithstanding the above, no coverage shall be afforded for any **Incident** if the information withheld relating to such **Incident** is subject to exclusion under Section V. EXCLUSIONS,



or any other limitation in this Policy relating to any misrepresentations provided in the **Application**.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0013	02/20/2026	O5196DCYA260

TCPA DEFENSE EXPENSES

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged for this Policy it is hereby understood and agreed that:

1. Item 10 of the Declarations is amended by the addition of the following:

TCPA DEFENSE EXPENSES SCHEDULE

Coverage	Limit of Insurance	Retention
TCPA Defense Expenses	\$50,000 Aggregate	\$10,000 Each Event

2. Section II. DEFINITIONS is amended to include the following definition:

TCPA Defense Expenses means **Claim Expenses** incurred by an Insured in the investigation, adjustment, defense, or appeal of a **Claim** alleging violations of the Telephone Consumer Protection Act of 1991 (TCPA), as amended, or any federal, state, local, or foreign laws or regulations relating to unsolicited telemarketing, text messaging, faxes, or other communications.

3. In Section V. EXCLUSIONS, exclusion B. Unsolicited Communications is deleted in its entirety and replaced with the following:

Unsolicited Communications

1. Unsolicited electronic dissemination of faxes, emails, text messages, or other communications by or on behalf of an Insured to multiple actual or prospective customers of an Insured or any other third party, including but not limited to actions brought under the Telephone Consumer Protection Act ("TCPA"), any federal or state anti-spam statutes, or any other local, state, federal, common, or foreign laws or legislation relating to a person's or entity's right of seclusion; however, the Insurer will pay **TCPA Defense Expenses** incurred, subject to the sublimit of insurance shown in the schedule above, which is part of and not in addition to the Maximum Policy Aggregate Limit, because of a Claim alleging a violation of TCPA, resulting from a covered Event.



2. This limited coverage for **TCPA Defense Expenses** will not apply to any **Claim** based upon, arising out of, or attributable to:
 - a) any willful, deliberate, malicious, fraudulent, dishonest, or criminal act or omission by any Insured; or
 - b) any violation of the CAN-SPAM Act of 2003, as amended, or any rules or regulations promulgated thereunder.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0016	02/20/2026	O5196DCYA260

1st Party and 3rd Party Mitigation Expense

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged for this Policy it is hereby understood and agreed that:

- The following is added to Item [#] of the Declarations:

MITIGATION EXPENSE SCHEDULE

Coverage	Limit of Insurance	Retention
Third Party Mitigation Expense	\$250,000 Aggregate	\$10,000 Each Claim
First Party Mitigation Expense	\$250,000 Aggregate	\$10,000 Each Event

- The following Coverage is added to the Policy:

MITIGATION EXPENSE COVERAGE

A. Third Party Mitigation Expense

The **Insurer** will pay **Third Party Mitigation Expense** incurred by an **Insured** because of circumstances that could reasonably be expected to result in a **Claim** first made during the **Policy Period** and reported to the **Insurer** in accordance with Section VI. Reporting of Claims and Events, that would be covered under Insuring Agreement I.A.1. Privacy and Security Liability, Insuring Agreement I.A.4. Multimedia Liability, or the Technology Errors and Omissions Liability Endorsement, if applicable.

B. First Party Mitigation Expense

The **Insurer** will pay **First Party Mitigation Expense** incurred by an **Insured Organization** because of an **Event** first **Discovered** during the **Policy Period** and reported to the **Insurer** in accordance with Section VI. Reporting of Claims and Events,

that is covered or could reasonably be expected to result in a covered **Loss** under any applicable **First Party Insuring Agreement**.

3. Section II. DEFINITIONS is amended to include the following:

Third Party Mitigation Expense means reasonable and necessary expenses incurred by an **Insured**, with the **Insurer's** prior written consent, which the **Insurer** agrees, in its reasonable discretion, are necessary to:

- a. Avoid or mitigate potential **Damages** or **Claim Expenses** under a **Third Party Liability Insuring Agreement** that would likely equal or exceed the **Third Party Mitigation Expense**; or
- b. Prevent or minimize the possibility of a **Claim** that would be covered under a **Third Party Liability Insuring Agreement**.

Third Party Mitigation Expense includes but is not limited to:

1. The reasonable and necessary cost to modify, remediate, or correct a product or service provided to a **Client**;
2. The reasonable and necessary cost to comply with a contract to avoid a **Claim** or breach of contract;
3. Amounts paid to settle a dispute with a **Client** prior to a **Claim** being made, if such settlement is likely to avoid a larger **Claim**; or
4. The reasonable and necessary cost to correct an error in the rendering of **Technology Professional Services** or in **Technology Products** before such error results in a covered **Claim**.

Third Party Mitigation Expense does not include:

1. Lost profits, lost business, lost revenue, or lost opportunities;
2. Fees or receivables payable to any **Insured**;
3. Any overhead, employee compensation, or cost overrun;
4. Any **Loss** under any other Coverage regardless of whether such other Coverage is purchased; or
5. Amounts that constitute the cost of doing business.

First Party Mitigation Expense means reasonable and necessary expenses incurred by an **Insured Organization**, with the **Insurer's** prior written consent, which the **Insurer** agrees, in its reasonable discretion, are necessary to:

- a. Avoid or mitigate potential **Loss** under a **First Party Insuring Agreement** that would likely equal or exceed the **First Party Mitigation Expense**; or
- b. Prevent or minimize the severity or impact of an **Event** that would be covered under a **First Party Insuring Agreement**.

First Party Mitigation Expense includes but is not limited to:

1. Emergency measures to prevent data loss, system outage, or business interruption;
2. Preemptive security enhancements directly related to a specific, imminent threat, provided such enhancements: (1) are necessitated by an identified threat that poses clear and present danger within 72 hours; (2) would not have been implemented absent the specific threat; (3) do not exceed 150% of restoration costs; and (4) represent the minimum modification necessary to counter the threat;
3. Temporary workarounds to maintain critical business functions during remediation of an **Event**; or
4. Costs to prevent the escalation of an emerging **Cyber Incident** before it fully materializes.

First Party Mitigation Expense does not include:

1. Lost profits, lost business, lost revenue, or lost opportunities;
2. Fees or receivables payable to any **Insured**;
3. Any overhead, employee compensation, or cost overrun;
4. Any **Loss** under any other Coverage regardless of whether such other Coverage is purchased;
5. Costs to upgrade or improve a **Computer System** beyond its condition prior to the **Event**, except where such costs constitute preemptive security enhancements that are: (1) directly necessitated by a specific, identified threat; (2) would not have been implemented absent such threat; (3) do not exceed 150% of restoration costs; and (4) represent the minimum modification necessary to counter the threat; or
6. Amounts that constitute the cost of doing business.

Imminent Threat means a credible and specific threat to an **Insured Organization's Computer System** that: (a) has been identified through reliable threat intelligence or security monitoring; (b) poses clear and present danger of causing a covered **Event** within 72 hours if not immediately addressed; (c) cannot reasonably be mitigated through existing security measures; and (d) requires immediate action to prevent or minimize potential **Loss**.

4. Mitigation Expense Conditions

A. As a condition precedent to coverage under this Endorsement, an **Insured** must:

1. Notify the **Insurer** in writing of:
 - a. The circumstances that could reasonably be expected to give rise to a Claim for Third Party Mitigation Expense; or
 - b. The Event that may give rise to a First Party Mitigation Expense; In both cases, as soon as practicable after becoming aware of such circumstances or Discovery of such Event;

2. Notwithstanding paragraph 1 above, in cases involving an **Imminent Threat**, an **Insured Organization** may immediately implement necessary **First Party Mitigation Expense** measures without prior consent, provided that:
 - a. The **Insured Organization** notifies the **Insurer** within 48 hours of implementing such measures;
 - b. The **Insured Organization** provides detailed documentation of:
 1. The nature and credibility of the **Imminent Threat**;
 2. The specific measures taken and their costs;
 3. Evidence that the threat could not be addressed through existing security measures;
 4. Justification that immediate action was necessary to prevent imminent **Loss**;
 - c. The total emergency expenses do not exceed **\$25,000** per **Event** without prior **Insurer** consent;
 - d. The **Insurer** retroactively approves the expenses within 10 business days of notification as reasonable and necessary under the circumstances.
3. **Standard Approval Requirements** (for non-emergency situations): Demonstrate to the **Insurer's** reasonable satisfaction that: (a) The proposed mitigation expenses are reasonable and necessary; (b) Such expenses will likely reduce or eliminate a covered **Loss** that would otherwise be incurred; (c) The amount of such **Loss** would likely equal or exceed the amount of the mitigation expenses; and (d) Such expenses cannot be covered elsewhere under the Policy.
4. **Prior Written Consent** (for non-emergency situations): Obtain the **Insurer's** prior written consent before incurring any **Third Party Mitigation Expense** or **First Party Mitigation Expense**, except as provided in the Emergency Response Exception above. The **Insurer** shall not unreasonably withhold such consent.
- B. The **Insurer** has no obligation to recommend or identify potential mitigation activities, but may do so at its sole discretion.
- C. The decision to consent to any **Third Party Mitigation Expense** or **First Party Mitigation Expense** remains at the **Insurer's** sole discretion, but such consent shall not be unreasonably withheld.
5. Limits and Retentions
 - a. The Limits of Insurance for **Third Party Mitigation Expense** and **First Party Mitigation Expense** shown in the Mitigation Expense Schedule are part of, and not in addition to, the Maximum Policy Aggregate Limit and any applicable Insuring Agreement Limits.
 - b. The Retention for **Third Party Mitigation Expense** shown in the Mitigation Expense Schedule applies to each set of circumstances that could reasonably be expected to result in a **Claim**. The Retention for **First Party Mitigation Expense** shown in the Mitigation Expense Schedule applies to each **Event**.

- c. **Emergency Response Sub-limit:** The Emergency Response Sub-limit of \$[INSERT EMERGENCY LIMIT] per **Event** applies to **First Party Mitigation Expense** incurred under the Emergency Response Exception and is part of, not in addition to, the overall **First Party Mitigation Expense** limit.
- d. If the Mitigation Expense Coverage Limits of Insurance and Retentions are not shown on the Declarations, the Declarations are amended by the addition of such Coverage Limits of Insurance and Retentions as shown in the Mitigation Expense Schedule above.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0019	02/20/2026	O5196DCYA260

Dependent Business Interruption (Non-IT Providers)

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged, it is hereby understood and agreed that the Policy is amended as follows:

NON-IT SERVICE PROVIDER COVERAGE SCHEDULE

Coverage	Sublimit	Retention	Waiting Period
Dependent Business Interruption (Non-IT Providers)	\$1,000,000 Aggregate	\$10,000 Each Event	8 Hours

- Section II. DEFINITIONS, definition 70. **Service Provider** is deleted in its entirety and replaced with the following:

Service Provider means an individual or entity that is not an **Insured** and provides the following to an **Insured Organization** pursuant to a written contract or written agreement:

- maintain, managing, or controlling **Computer Systems**;
- hosting or facilitating the **Insured Organization's** website;
- any individual or entity providing administrative functions, human resources, marketing, or other outsourced services to an **Insured**; or
- non-information technology goods or services upon which the **Insured Organization** is dependent to perform its business operations.

Service Provider does not include an internet service provider (including, but not limited to, a provider of internet connectivity), public utility (including, but not limited to, an electric, gas, water or telecommunications service provider), or securities exchange or market.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.

Endorsement Number	Effective Date of Endorsement	Policy Number
NCP 0099	02/20/2026	O5196DCYA260

PRIOR KNOWLEDGE EXCLUSION ENDORSEMENT

This endorsement modifies insurance provided under the following:

NEXUS CYBER POLICY

In consideration of the premium charged, it is hereby understood and agreed that the Policy is amended as follows:

1. Section V. EXCLUSIONS, subsection X. Prior Knowledge and Pending Matters is deleted in its entirety and replaced with the following:

X. Prior Knowledge and Pending Matters

This Policy does not apply to any **Claim, Event, Extortion Event, Ransomware Threat or Loss** based upon, arising out of or attributable to any actual or alleged:

1. **Incident** that any member of **Management** knew or could reasonably have foreseen on or before the inception date of the first NEXUS Cyber Policy issued by the **Insurer** might be the basis of a **Claim** or **Loss** under this Policy;
2. **Privacy and Security Incident, Cyber Incident, Information Security Breach, Multimedia Wrongful Act, Event, Extortion Event, or Ransomware Threat** which was the subject of any written notice given under any insurance policy of which this Policy is a renewal or replacement, or which it succeeds in time;
3. **Privacy and Security Incident, Cyber Incident, Information Security Breach, Multimedia Wrongful Act, Event, Extortion Event, or Ransomware Threat** which was the subject of any written demand, suit, proceeding, order, inquiry or investigation pending against any **Insured** on or prior to the inception date of this Policy; or
4. Acts, errors, omissions, facts, circumstances, situations, events, transactions, or **Related Acts** that were known to any member of **Management** prior to the inception date of this Policy and were not disclosed to the **Insurer** in the **Application**.
5. The following specific **Incident(s)**, matter(s), or circumstance(s):

5/10/2023 - financial fraud/data breach

However, this exclusion shall not apply to any **Claim, Event, Extortion Event, Ransomware Threat or Loss** that would otherwise be covered under this Policy and that arises from a **Privacy and Security Incident, Cyber Incident, Information Security Breach, Multimedia Wrongful Act, Event, Extortion Event, or Ransomware Threat** that:

- a) was specifically disclosed to the **Insurer** in writing in the **Application** for this Policy or any prior policy of which this Policy is a renewal; and
- b) the **Insurer** has expressly agreed in writing to provide coverage for such **Privacy and Security Incident, Cyber Incident, Information Security Breach, Multimedia Wrongful Act, Event, Extortion Event, or Ransomware Threat**.

All other terms and conditions of this Policy remain unchanged.

This endorsement forms a part of the Policy to which attached, effective on the inception date of the Policy unless otherwise stated herein.



ENDORSEMENT NO. PCY-00109

DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

This Endorsement, which is effective at 12:01 a.m. on 02/20/2026, forms part of:

Policy No.:	O5196DCYA260
Issued to:	DAKOTALAND FEEDS, L.L.C.
Issued by:	Certain Underwriters at Lloyd's, London (not incorporated)
Section(s)	CYBER

THIS ENDORSEMENT IS ATTACHED TO AND MADE PART OF YOUR POLICY IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT. THIS ENDORSEMENT DOES NOT GRANT ANY COVERAGE OR CHANGE THE TERMS AND CONDITIONS OF ANY COVERAGE UNDER THIS POLICY.

- A. In accordance with the Terrorism Risk Insurance Act, the Underwriter is required to provide the Insured with a notice disclosing the premium, if any, attributable to coverage for Certified Acts of Terrorism. The premium attributable to such coverage is \$0.
- B. If coverage is provided by the Coverage Section(s) identified above for losses resulting from **Certified Acts of Terrorism**, such losses may be partially reimbursed by the United States Government under a formula established by federal law. Under the formula, the United States Government generally reimburses 85% through 2015; 84% beginning on January 1, 2016; 83% beginning on January 1, 2017; 82% beginning on January 1, 2018; 81% beginning on January 1, 2019 and 80% beginning on January 1, 2020, of covered terrorism losses exceeding the statutorily established deductible paid by the insurance company providing the coverage.
- C. If aggregate insured losses attributable to **Certified Acts of Terrorism** exceed \$100 billion in a calendar year and the Underwriter has met its insurer deductible under the Terrorism Risk Insurance Act ("the Act"), the Underwriter shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.
- D. For the purposes of this endorsement, the DEFINITIONS Section of the Coverage Section identified above is amended to include the following terms:

Certified Act of Terrorism means that an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the Federal Terrorism Risk Insurance Act ("the Act"), to be an act of terrorism pursuant to the Act. The criteria contained in the Act for a **Certified Act of Terrorism** include the following:

~~the~~ act resulted in insured losses in excess of \$5M million in the aggregate, attributable to all types of insurance subject to the Act;

~~the~~ act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

SUBJECT TO THE TERMS AND CONDITIONS OF THE POLICY



ENDORSEMENT NO. PCY-00110

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM ENDORSEMENT

This Endorsement, which is effective at 12:01 a.m. on 02/20/2026, forms part of:

Policy No.:	O5196DCYA260
Issued to:	DAKOTALAND FEEDS, L.L.C.
Issued by:	Certain Underwriters at Lloyd's, London (not incorporated)
Section(s)	CYBER

In consideration of the premium charged:

- A. If aggregate insured losses attributable to **Certified Acts of Terrorism** exceed \$100 billion in a calendar year and the Underwriter has met its insurer deductible under the Terrorism Risk Insurance Act ("the Act"), the Underwriter shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.
- B. For the purposes of this endorsement, the DEFINITIONS Section of the Coverage Section identified above is amended to include the following terms:

Certified Act of Terrorism means that an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the Federal Terrorism Risk Insurance Act ("the Act"), to be an act of terrorism pursuant to the Act. The criteria contained in the Act for a **Certified Act of Terrorism** include the following:

- a. the act resulted in insured losses in excess of \$5M million in the aggregate, attributable to all types of insurance subject to the Act;
- b. the act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

SUBJECT TO THE TERMS AND CONDITIONS OF THE POLICY



SOUTH DAKOTA SURPLUS LINES NOTICE

THIS INSURANCE CONTRACT IS ISSUED BY A NONADMITTED INSURER WHICH IS NOT LICENSED BY NOR UNDER THE JURISDICTION OF THE SOUTH DAKOTA INSURANCE DIRECTOR.

LMA9077
01 September 2013

SERVICE OF SUIT CLAUSE (U.S.A.)

It is agreed that in the event of the failure of the Underwriters hereon to pay any amount claimed to be due hereunder, the Underwriters hereon, at the request of the (Re)Insured, will submit to the jurisdiction of a Court of competent jurisdiction within the United States. Nothing in this Clause constitutes or should be understood to constitute a waiver of Underwriters' rights to commence an action in any Court of competent jurisdiction in the United States, to remove an action to a United States District Court, or to seek a transfer of a case to another Court as permitted by the laws of the United States or of any State in the United States.

It is further agreed that service of process in such suit may be made upon Lloyd's Underwriters through the party as set out below:

**Lloyd's America, Inc.
Attention: Legal Department
280 Park Avenue, East Tower, 25th Floor
New York, NY 10017**

In respect of non-Lloyd's Underwriters, it is agreed that service of process in such suit may be made upon:

**Nexus US
25 Broadway, 9th Floor
New York, NY 10004**

The above-named are authorized and directed to accept service of process on behalf of Lloyd's Underwriters and non-Lloyd's Underwriters respectively in any such suit and Underwriters will abide by the final decision of such Court in respect of that suit, or of any Appellate Court in the event of an appeal.

Further, pursuant to any statute of any state, territory or district of the United States which makes provision therefor, Underwriters hereon hereby designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or their successor or successors in office, as their true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the (Re)insured or any beneficiary hereunder arising out of this (re)insurance, and hereby designate the above-named as the person to whom the said officer is authorized to mail such process or a true copy thereof.

This Service of Suit Clause will not be read to conflict with or override the obligations of the parties to arbitrate their disputes, if applicable, as provided for in any arbitration provision within this (re)insurance. Where there is an arbitration provision within this (re)insurance, the

provisions of this Clause shall operate as an aid to compelling or enforcing such arbitration or arbitral award only and not as an alternative to any arbitration provision for resolving disputes arising out of this (re)insurance.

LMA5020B

07/04/2025

Sanction Limitation and Exclusion Clause

No (re)insurer shall be deemed to provide cover and no(re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

LMA3100A
5 October 2023

CANCELLATION CLAUSE

NOTWITHSTANDING anything contained in this Insurance to the contrary this Insurance may be cancelled by the Assured at any time by written notice or by surrendering of this contract of insurance. This Insurance may also be cancelled by or on behalf of the Underwriters by delivering to the Assured or by mailing to the Assured, by registered, certified or other first class mail, at the Assured's address as shown in this Insurance, written notice stating when, not less than 60 (sixty) days thereafter, the cancellation shall be effective. The mailing of notice as aforesaid shall be sufficient proof of notice and this Insurance shall terminate at the date and hour specified in such notice.

If this Insurance shall be cancelled by the Assured the Underwriters shall retain the customary short rate proportion of the premium hereon, except that if this Insurance is on an adjustable basis the Underwriters shall receive the earned premium hereon or the customary short rate proportion of any minimum premium stipulated herein whichever is the greater.

If this Insurance shall be cancelled by or on behalf of the Underwriters the Underwriters shall retain the pro rata proportion of the premium hereon, except that if this Insurance is on an adjustable basis the Underwriters shall receive the earned premium hereon or the pro rata proportion of any minimum premium stipulated herein whichever is the greater.

Payment or tender of any unearned premium by the Underwriters shall not be a condition precedent to the effectiveness of Cancellation but such payment shall be made as soon as practicable.

If the period of limitation relating to the giving of notice is prohibited or made void by any law controlling the construction thereof, such period shall be deemed to be amended so as to be equal to the minimum period of limitation permitted by such law.

NMA 1331

20/04/1961

SEVERAL LIABILITY CLAUSE

PLEASE NOTE – This notice contains important information. PLEASE READ CAREFULLY

The liability of an insurer under this contract is several and not joint with other insurers party to this contract. An insurer is liable only for the proportion of liability it has underwritten. An insurer is not jointly liable for the proportion of liability underwritten by any other insurer. Nor is an insurer otherwise responsible for any liability of any other insurer that may underwrite this contract.

The proportion of liability under this contract underwritten by an insurer (or, in the case of a Lloyd's syndicate, the total of the proportions underwritten by all the members of the syndicate taken together) is shown in this contract.

In the case of a Lloyd's syndicate, each member of the syndicate (rather than the syndicate itself) is an insurer. Each member has underwritten a proportion of the total shown for the syndicate (that total itself being the total of the proportions underwritten by all the members of the syndicate taken together). The liability of each member of the syndicate is several and not joint with other members. A member is liable only for that member's proportion. A member is not jointly liable for any other member's proportion. Nor is any member otherwise responsible for any liability of any other insurer that may underwrite this contract. The business address of each member is Lloyd's, One Lime Street, London EC3M 7HA. The identity of each member of a Lloyd's syndicate and their respective proportion may be obtained by writing to Market Services, Lloyd's, at the above address.

Although reference is made at various points in this clause to "this contract" in the singular, where the circumstances so require this should be read as a reference to contracts in the plural.

LMA5096 (Combined Certificate)

7 March 2008

Complaints

Every effort is made to ensure you receive a high standard of service. If you are not satisfied with the service you have received, you should contact us at:

Address:

Suite 210, 566 West Adams Street
Chicago, Illinois, 60661, U.S.A

Phone: +1(888) 528 2080

Email: compliance@nexusunderwriting.com

When contacting us, please include your policy/claim number and policyholder name for faster service. We will work to resolve any issues directly with you. If we cannot reach a satisfactory resolution, you may be eligible to escalate your complaint to the Lloyd's Complaints team:

Lloyd's Complaints Contact Information:

Email: complaints@lloyds.com

Website: www.lloyds.com/complaints

Information about Lloyd's complaints procedures are set out in the "Your Complaint - How We Can Help" leaflet available at www.lloyds.com/complaints.

- South Dakota Surplus Lines Tax of 2.5%



Cyber Insurance



NEXUS CYBER POLICY

In consideration of the payment of the premium, the undertaking of the **Named Insured** to pay the applicable Retention(s) herein, and in reliance upon all statements made in and information provided in connection with the **Application**, and subject to all terms, conditions, limitations, and exclusions of this Policy, the **Insurer** and the **Insureds** agree as follows:

I. INSURING AGREEMENTS

A. THIRD PARTY LIABILITY COVERAGES

The Third Party Liability Coverages of the Policy provide coverage on a claims made and reported basis. Thus, coverage applies only to **Claims** that are first made against an **Insured** during the **Policy Period** or any applicable **Extended Reporting Period**, and reported to the **Insurer** in accordance with this Policy's notice provisions. The Insuring Agreement Limits for the **Third Party Liability Coverages** include **Claim Expenses**, the payment of which will reduce and may exhaust such Limit(s).

1. Privacy and Security Liability

The **Insurer** will pay on behalf of an **Insured** all **Claim Expenses** and **Damages** that such **Insured** becomes legally obligated to pay as a direct result of a **Claim** first made against an **Insured** for an actual or alleged **Privacy and Security Incident** taking place on or after the **Retroactive Date** and prior to the end of the **Policy Period**.

2. Privacy Regulatory Defense

The **Insurer** will pay on behalf of an **Insured** all **Claim Expenses** and **Regulatory Penalties** that such **Insured** becomes legally obligated to pay as a direct result of:

- a. a **Regulatory Proceeding** initiated against an **Insured Organization** during the **Policy Period**; or
- b. a regulatory investigation, inquiry, or request for information commenced by a regulatory agency or authority against an **Insured Organization** during the **Policy Period**, even if such investigation, inquiry, or request for information has not yet resulted in a formal **Regulatory Proceeding**.

Provided that such **Regulatory Proceeding**, investigation, inquiry, or request for information arises from an actual or alleged **Cyber Incident** or **Privacy and Security Incident** that took place on or after the **Retroactive Date** and prior to the end of the **Policy Period**.

3. PCI-DSS Loss

The **Insurer** will pay on behalf of an **Insured** all **Claim Expenses** and **PCI Fines, Expenses and Costs** that such **Insured** becomes legally obligated to pay as a direct result of a **PCI-DSS Claim** first made against an **Insured Organization** for an actual or alleged **Information Security Breach** taking place on or after the **Retroactive Date** and prior to the end of the **Policy Period**.

4. Multimedia Liability

The **Insurer** will pay on behalf of an **Insured** all **Claim Expenses** and **Damages** that such **Insured** becomes legally obligated to pay as a direct result of a **Claim** first made against an **Insured** for an actual or alleged **Multimedia Liability Wrongful Act** taking place on or after the **Retroactive Date** and prior to the end of the **Policy Period**.

NEXUS CYBER POLICY

5. Contingent Bodily Injury and Property Damage

The **Insurer** will pay on behalf of an **Insured** all **Claim Expenses** and **Damages** that such **Insured** becomes legally obligated to pay as a direct result of a **Claim** first made against an **Insured** for:

- a. bodily injury, sickness, disease, or death of any person; or
- b. physical damage to, destruction of, or loss of use of tangible property;

taking place on or after the **Retroactive Date** and prior to the end of the **Policy Period** provided that such:

- i) bodily injury, sickness, disease, or death of any person, or physical damage to, destruction of, or loss of use of tangible property, directly results from a **Cyber Incident** affecting an **Insured Organization's Computer Systems**; and
- ii) **Claim** is made by a third party who is not an **Insured**.

As a condition precedent to this coverage, it is understood and agreed that:

- 1) The **Named Insured** must maintain a valid and collectible commercial general liability insurance policy, effective throughout the **Policy Period** of this Policy; and
- 2) This coverage will only apply to the extent no similar coverage is provided under any other insurance policy available to an **Insured**, or any **Additional Insured** for whom coverage under this Policy may apply.

This coverage shall be excess over any coverage provided by an **Insured's** commercial general liability policy or any other applicable insurance. The **Insurer** shall have no duty to defend any **Claim** if any other insurer has a duty to defend such **Claim**.

This coverage does not apply to any **Claims** arising from the **Insured Organization's** products, services, or operations not directly related to a **Cyber Incident**.

Additional Third Party Liability Coverage Requirements

The coverage provided in Insuring Agreement I.A.1. Privacy and Security Liability, Insuring Agreement I.A.2. Privacy Regulatory Defense, Insuring Agreement I.A.3. PCI-DSS Loss, Insuring Agreement I.A.4. Multimedia Liability and Insuring Agreement I.A.5. Contingent Bodily Injury and Property Damage – Third Party, above, apply only if:

- (a) the **Insured** did not give notice of such **Privacy and Security Incident, Cyber Incident, Information Security Breach** or **Multimedia Wrongful Act** (collectively "Acts") to any prior insurer, or notice under any policy of which this Policy is a renewal or replacement, or succeeds in time;
- (b) prior to the inception date of the first NEXUS Bridge Cyber Policy issued by the **Insurer**, no member of **Management** knew such Acts occurred, or knew of any fact which could reasonably be expected to result in a **Claim**; and
- (c) the **Claim** is first made against an **Insured** during the **Policy Period** or any applicable **Extended Reporting Period**, and the **Claim** is reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

NEXUS CYBER POLICY

B. FIRST PARTY COVERAGES

1. Breach Response

The **Insurer** will pay for **Cyber Incident Loss** incurred by an **Insured Organization** as a direct result of a **Cyber Incident** or **Privacy and Security Incident**, first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

2. Cyber Extortion & Ransomware

The **Insurer** will reimburse the **Insured** for **Extortion Loss and Expenses** incurred by an **Insured Organization** as a result of an **Extortion Event** or **Ransomware Threat** first made against an **Insured** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

3. Data Recovery

The **Insurer** will pay for **Restoration Costs** incurred by an **Insured Organization** to restore, recover, or recreate any **Data Asset** that is damaged or destroyed as a direct result of a **Cyber Incident** first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

4. Hardware Replacement

The **Insurer** will pay on behalf of the **Insured** for **Hardware Replacement Loss** incurred by an **Insured Organization** resulting directly from a **Cyber Incident** first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

5. Business Interruption Loss

The **Insurer** will reimburse an **Insured Organization** for **Business Interruption Loss** actually sustained by such **Insured Organization** during the **Period of Restoration** after application of the **Waiting Period** resulting directly from a **Cyber Incident** or **System Failure** first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

The **Period of Restoration** shall not exceed the number of days stated in Item 7 of the Declarations from the start of the **Outage**.

6. Dependent Business Interruption

The **Insurer** will reimburse an **Insured Organization** for **Dependent Business Interruption Loss** actually sustained by such **Insured Organization** during the **Period of Restoration** after application of the **Waiting Period** resulting directly from a **Cyber Incident** or **System Failure** affecting a **Service Provider's** computer system, first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

The **Period of Restoration** for this coverage shall not exceed the number of days stated in Item 7 of the Declarations from the start of the **Outage** affecting the **Service Provider's Computer System**.

NEXUS CYBER POLICY

7. Reputational Damage

The **Insurer** will reimburse an **Insured** for **Reputational Damage Income Loss** directly resulting from a **Reputational Harm Incident**, provided that the **Reputational Harm Incident** arises from a publicly known media communication regarding an actual or alleged **Cyber Incident** or **Privacy and Security Incident** that is first **Discovered** by an **Insured Organization** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

The **Period of Restoration** for this coverage shall not exceed the number of days stated in Item 7 of the Declarations from when the **Reputational Harm Incident** is first **Discovered**.

8. Proof of Loss Preparation Costs

The **Insurer** will pay on behalf of an **Insured** for **Preparation Costs** for **Business Interruption Loss**, **Dependent Business Interruption Loss** or **Reputational Damage Income Loss** covered under this Policy and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

9. Cyber Crime

The **Insurer** will reimburse an **Insured** for **Cyber Crime Loss** incurred by an **Insured Organization** as a result of a **Cyber Crime Event** first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

10. First Response

Subject to the **First Response Services Cost Sublimit**, the **Insurer** will pay all **First Response Services Costs** incurred by an **Insured Organization** during the first 96 hours for **First Response Services** as a direct result of a **Cyber Incident** or **Privacy and Security Incident** first **Discovered** during the **Policy Period** and reported to the **Insurer** in writing in accordance with Section VI. Reporting of Claims and Events.

- a. The 96-hour period for **First Response Services Costs** begins when an **Insured Organization** first notifies the **Insurer** of a **Cyber Incident** or **Privacy and Security Incident** ("Initial 96-Hour Period").
- b. Coverage for the **First Response Services** within the Initial 96-Hour Period will cease on the earlier of:
 - i) the end of such Initial 96-Hour Period;
 - ii) completion of the **First Response Services** for such **Cyber Incident** or **Privacy and Security Incident**; or
 - iii) the exhaustion of the **First Response Services Costs Sublimit**.

C. SUPPLEMENTAL COVERAGES

1. Court Attendance Costs

Upon request of an **Insured Organization**, the **Insurer** will pay the actual loss of earnings and reasonable costs incurred by an **Insured** to assist the **Insurer** in the investigation or defense of a **Claim**, including attending any trial, hearing, deposition, arbitration proceeding, mediation session or other legal proceeding at the **Insurer's** written request.

NEXUS CYBER POLICY

2. Criminal Reward

The **Insurer** will reimburse an **Insured Organization** for rewards it pays for information that leads to the arrest and conviction of any person(s) responsible for a covered **Cyber Incident**, **Extortion Event** or **Ransomware Threat** subject to the **Insurer's** consent.

3. Cryptojacking

The **Insurer** will reimburse an **Insured Organization** for **Cryptojacking Loss** directly resulting from a **Cryptojacking Attack**.

II. DEFINITIONS

1. **Additional Insured** means any entity the **Insured Organization** is required by written contract or written agreement to include as an **Additional Insured** under this Policy, but only with respect to such entity's vicarious liability for an **Insured Organization's** acts, errors or omissions.
2. **Application** means any information, statement, and representation provided to the **Insurer** for the purpose of underwriting this Policy.

Breach Legal and Consulting Fees means any reasonable and necessary costs, fees and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, for legal and consulting services provided in connection with an actual or suspected **Cyber Incident**, including:

- a. legal advice and assistance to investigate a **Cyber Incident**, determine the **Insured Organization's** legal obligations under breach notice laws, and provide notification to applicable regulatory agencies or affected individuals;
- b. compliance with payment card industry (PCI) operating regulations and merchant service agreements, including engagement of a PCI forensic investigator (excludes costs, fees and expenses related to any **Claim** or remediation of the breached **Computer System**);
- c. legal advice on providing credit monitoring, identity monitoring, and identity theft assistance to affected individuals for up to 2 years, or as required by statute, whichever is greater;
- d. ongoing legal and consulting services related to regulatory interactions, inquiries, and compliance requirements arising from an actual or suspected **Cyber Incident**, even when no formal regulatory proceeding has been initiated; and
- e. any other legal or consulting services required by any **Privacy Regulation**.

Breach Legal and Consulting Fees do not include costs, fees or expenses incurred in any **Claim**.

4. **Business Interruption Loss** means an amount equal to the sum of:
 - a. the net revenues that an **Insured Organization** would have earned had no **Outage** occurred (taking into account historical performance, seasonal variations, and demonstrable business developments); less
 - b. all charges and expenses that do not necessarily continue during the **Period of Restoration**; and
 - c. **Extra Expense**.

Business Interruption Loss does not include any:

- i) contractual penalties;
- ii) loss arising out of any liability to any third party;

NEXUS CYBER POLICY

- iii) costs or expenses to identify, correct, or remediate **Computer System** deficiencies or vulnerabilities or to make any updates or improvements to a **Computer System**;
- iv) costs or expenses to update, restore, replace, or repair a **Computer System**;
- v) loss incurred as result of an unfavorable business condition, loss of market, or any other consequential loss; or
- vi) legal costs or expenses of any type.

5. **Claim** means:

- a. a written demand (other than an **Extortion Event** or **Ransomware Threat**) for monetary or nonmonetary (including injunctive) relief, including a request to toll or waive any statute of limitations relating to a potential civil or administrative proceeding, or to engage in an arbitration, mediation, or similar alternative dispute resolution proceeding, or other similar legal document that make demands or assert rights, or initiate some form of legal process against the **Insured**, which shall be deemed first made upon receipt by an **Insured** of such written demand;
- b. a civil action or proceeding for monetary or non-monetary (including injunctive) relief, which shall be deemed first made upon the earlier of (i) formal service of a complaint or similar pleading upon an **Insured**; or (ii) other receipt of such complaint or similar pleading by an **Insured**;
- c. solely with respect to Insuring Agreement I.A.2. Privacy Regulatory Defense, a **Regulatory Proceeding**, which shall be deemed first made upon receipt of an **Insured** of written notice of such **Regulatory Proceeding**; or
- d. solely with respect to Insuring Agreement I.A.3. PCI-DSS Loss, a **PCI-DSS Claim**.

Claim does not include any regulatory investigation, action or proceeding unless such regulatory investigation, action or proceeding is a **Regulatory Proceeding**. **Claim** also does not include any request by an **Insured** to pay or reimburse any **Loss** under any **First Party Insuring Agreement**.

6. **Claim Expenses** means reasonable and necessary fees, costs and expenses:

- a. charged by an attorney designated by, or consented to, in writing by the **Insurer** to assist with the investigation, defense or appeal of a **Claim**;
- b. charged by expert witnesses, forensic specialists, consultants, and other professionals retained by defense counsel or approved by the **Insurer** in writing to assist with the investigation, defense or appeal of a **Claim**;
- c. for court reporter services, transcripts, filing fees, court costs, witness fees, jury fees, appeal bonds, and similar expenses related to the defense of a **Claim**;
- d. for alternative dispute resolution proceedings, including mediation, arbitration, or other settlement negotiations, when approved by the **Insurer** in writing; and
- e. for reasonable travel expenses incurred by defense counsel or experts when necessary for the defense of a **Claim** and approved by the **Insurer** in writing.

Claim Expenses do not include:

- i. any **Breach Legal and Consulting Fees**;
- ii. salaries, wages, benefits, overhead, or other internal costs of the **Insured** or its employees, officers, or directors;
- iii. costs incurred by the **Insured** for time spent cooperating with the investigation, defense, or appeal of a **Claim**, including but not limited to time spent preparing for or attending depositions, hearings, or trial;
- iv. lost productivity costs or business interruption expenses of the **Insured**; or

NEXUS CYBER POLICY

v. any fees, costs, or expenses not authorized by the **Insurer** in writing.

7. **Client** means any natural person or entity for whom an **Insured Organization**:

- a. provides goods; or
- b. performs services,

for a fee or other remuneration, or under a written contract or agreement.

8. **Computer Forensic Costs** means reasonable and necessary costs, fees and expenses incurred by an **Insured Organization** for computer forensic services provided by qualified third-party vendors or consultants, with the **Insurer's** prior written consent, to investigate, analyze, and gather evidence from computer systems, networks, and digital data storage devices to determine the cause, scope, and extent of a **Cyber Incident**, to identify and contain the **Cyber Incident**, and close off points of unauthorized entry. **Computer Forensic Costs** do not include any internal costs, overhead, or expenses incurred by the **Insurer** in its evaluation of the **claim**.

9. **Computer System** means any electronic, wireless, or network systems, including equipment, hardware, firmware, software, components, operating systems, peripheral devices, Internet of Things (IoT) devices, wireless devices, back-up devices, telephone systems, and the data stored thereon, as well as associated input and output devices, data processing, cloud storage, hosting services, terminal devices, mobile devices, networking equipment and storage area network or other electronic data storage or back-up facilities that are:

- a. owned by, leased to, or under the operational control of an **Insured Organization**; or
- b. operated by a third-party **Service Provider** and used to provide hosted computer application services to the **Insured Organization** or for processing, maintaining, hosting, or storing data for the **Insured Organization**, pursuant to a written contract with the **Insured Organization** for such services.

Computer System also includes the personal devices, such as laptops, tablets, and smartphones of an **Insured Organization's** employees when used under a "Bring Your Own Device" (BYOD) arrangement, but only while being used to access an **Insured Organization's Computer System** or store **Protected Personal Information** or **Confidential Data** related to an **Insured Organization**.

10. **Confidential Data** means any non-public confidential or proprietary information of an entity, other than an **Insured Organization**, that an **Insured Organization** is contractually obligated to hold and maintain in confidence. **Confidential Data** does not include **Protected Personal Information**.

11. **Content** means any form of the **Insured Organization's** media or entertainment output, regardless of the nature or form of such output or the medium by which such output is communicated, which an **Insured Organization** has created, developed, produced, or edited solely for the purpose of advertising the **Insured Organization's** own services.

However, **Content** does not include tangible product design; industrial design; architectural or building services; advertisements created by an **Insured** for a third party; business, company, product or trading names; product packaging or labeling; or software products.

12. **Cryptojacking Attack** means the unauthorized use of the **Insured Organization's Computer System** by a **Fraudulent Third Party** to mine or generate cryptocurrency, resulting in increased consumption of an **Insured Organization's** internet and/or electricity services in excess of its normal business operating use.

13. **Cryptojacking Loss** means the costs, fees and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, for internet and/or electricity services in excess of its normal operating costs, resulting directly from **Cryptojacking**.

NEXUS CYBER POLICY

14. Cyber Crime Event means:

a. Computer Fraud

An incident resulting in the unlawful taking of an **Insured Organization's Funds** from a bank account maintained directly or indirectly via an **Insured Organization's Computer Systems** by a **Fraudulent Third Party**, when such incident involves the compromise of, misuse of, or unauthorized access to an **Insured Organization's Computer Systems** through fraudulent means, including but not limited to the misuse or alteration of data.

b. Social Engineering

A **Fraudulent Third Party's** intentional deception of an employee of an **Insured Organization** through the transmission of fraudulent payment instructions, which results in the transfer and loss of an **Insured Organization's Funds**;

c. Invoice Manipulation

A **Fraudulent Third Party's** diversion of **Funds** intended for an **Insured Organization** involving the use of a **Computer System** to defraud, mislead, or deceive a **Client**, or **Funds** an **Insured Organization** intended to remit to a vendor for goods or services rendered to an **Insured Organization**.

d. Telecommunications Fraud

A **Fraudulent Third Party's** unauthorized access to or use of an **Insured's Computer System** that results in unauthorized and fraudulent use of the telephone or fax systems, or other telecommunications services of an **Insured Organization**.

e. Social Engineering of Clients Funds

The theft of **Funds** by electronic means committed by a **Fraudulent Third Party** through social engineering, where such **Funds** are in the care, custody, or control of an **Insured**, or are contractually held by an **Insured** on behalf of a third party, and for which an **Insured** is legally or contractually obligated to protect or hold for the benefit of such third party.

f. Social Engineering Theft of Management Funds

The theft of **Funds** from the personal bank account of a member of **Management** by a **Fraudulent Third Party**, when such theft involves the compromise of, misuse of, or unauthorized access to **Insured Organization's Computer System** through fraudulent means, including but not limited to the misuse or alteration of data.

g. Funds Transfer Fraud

An incident arising from a fraudulent payment instruction provided by a **Fraudulent Third Party** to a financial institution as a result of a **Cyber Incident**, where the instruction was purported to be a legitimate payment instruction from an **Insured Organization** but was issued without an **Insured Organization's** knowledge or consent, resulting in a transfer of an **Insured Organization's Funds** by the financial institution.

15. Cyber Crime Loss means:

- a. solely with respect to any a. Computer Fraud, b. Social Engineering, c. Invoice Manipulation, f. Social Engineering of Client Funds, g. Social Engineering Theft of Management Funds, or h. Funds Transfer Fraud as defined in the definition of **Cyber Crime Event**, the actual loss of **Funds** sustained by an **Insured Organization** resulting directly from the **Cyber Crime Event**;
- b. solely with respect to any d. Telecommunications Fraud as defined the definition of **Cyber Crime Event**, the costs, fees and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, for telecommunications services in excess of its normal operating costs, resulting directly from the **Cyber Crime Event**; and

NEXUS CYBER POLICY

- c. reasonable and necessary fees, costs and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, to investigate a **Cyber Crime Event**, and to attempt recovery of any fraudulently transferred **Funds**.

Cyber Crime Loss does not include:

- i) loss arising out of calculation errors;
- ii) consequential loss;
- iii) loss directly resulting from any fraudulent, criminal, or malicious act or knowing violation of the law by any employee of an **Insured Organization**.

16. **Cyber Incident** means any actual or suspected:

- a. unauthorized access, use, or manipulation of the **Computer System**;
- b. impairment, interruption, or failure of the **Computer System's** functionality directly resulting from a malicious attack, unauthorized access, or other security breach, but not including any **Outage**, degradation, or failure arising from operational or technical errors, routine maintenance, capacity limitations, or non-malicious system failures;
- c. unauthorized access to, acquisition of, loss of, or disclosure of **Protected Personal Information** or **Confidential Information**;
- d. introduction or activation of any malicious software, code, or program;
- e. unauthorized acquisition or use of access credentials for the **Computer System**; or
- f. theft or loss of hardware containing **Protected Personal Information** or **Confidential Information**.

Cyber Incident also includes any failure to disclose any of the aforementioned in violation of any **Privacy Breach Regulations**.

17. **Cyber Incident Loss** means any of the following reasonable and necessary costs, fees and expenses incurred with the **Insurer's** consent:

- a. **Computer Forensic Costs**;
- b. **Notification Expenses**;
- c. **Breach Legal and Consulting Fees**;
- d. **Public Relations Expenses**;
- e. **Post Security Incident Remediation Costs**; and
- f. any other reasonable and necessary costs, fees and expenses approved by the **Insurer** in order to mitigate an **Event**.

Cyber Incident Loss does not include any costs or expenses otherwise covered as **Reputational Damage Income Loss**.

18. **Cyber Operation** means the use of any computer, hardware, software, communications system, electronic device (including but not limited to, smart phone, laptop, tablet, wearable device), server, cloud infrastructure or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility (collectively, "Computer Network") by, at the direction of, or under the control of a sovereign state to disrupt, deny access to, degrade, manipulate, copy, remove, or destroy information in a Computer Network.

19. **Cyber Terrorism** means the premeditated use of disruptive activities, or the threat thereof, by an individual or group of individuals, against an **Insured Organization's Computer System**, with the intention to cause harm, further social, ideological, religious, political or similar objectives, or to

NEXUS CYBER POLICY

intimidate any person(s) in furtherance of such objectives. **Cyber Terrorism** does not include a **Cyber Operation**.

20. **Cyber War** means any **Cyber Operation**:

- a. carried out as part of a **War** by sovereign states that are parties to the **War**; or
- b. causing an **Impacted State**.

21. **Damages** means amounts an **Insured** is legally obligated to pay as a result of a covered **Claim**, including but not limited to:

- a. settlements and judgments, including costs and fees awarded pursuant to a covered judgment and pre-judgment and post-judgment interest on that portion of a covered judgment;
- b. compensatory damages, and punitive or exemplary damages where insurable by law;
- c. solely with respect to Insuring Agreement I.A.2. Privacy Regulatory Defense, **Regulatory Penalties**; and
- d. solely with respect to Insuring Agreement I.A.3. PCI-DSS LOSS, **PCI Fines, Expenses and Costs**.

Damages do not include any:

- i) fines, penalties or sanctions imposed against an **Insured**, except to the extent such amounts constitute **PCI Fines, Expenses and Costs** and **Regulatory Penalties**;
- ii) taxes imposed against an **Insured**;
- iii) costs incurred by an **Insured** to comply with any order for non-monetary (including injunctive) relief or with any agreement to provide such relief;
- iv) return or restitution of fees, expenses, or costs paid to an **Insured**;
- v) liquidated damages pursuant to a contract or agreement exceeding the amount for which the **Insured** would have been liable in the absence such;
- vi) disgorgement of profits, accounting of profits, commissions, charges, gain, remuneration or financial advantage or other compensation paid to which an **Insured** was not legally entitled;
- vii) amount for which an **Insured** is absolved from payment by reason of any covenant, agreement or court order; or
- viii) any amount deemed uninsurable under the law of the jurisdiction governing this Policy's interpretation.
- viii) any amounts an **Insured** becomes legally obligated to pay arising from or related to the failure to render or the inability to render professional services, or any error or omission in the performance of professional services, including but not limited to design errors, programming errors, technology implementation errors, consulting services, or any other specialized service that requires professional expertise or licensure;

22. **Data Asset** means any electronic information stored or processed on an **Insured Organization's Computer System** and the software or firmware components of an **Insured Organization's Computer System**.

23. **Data Breach** means the unauthorized access to, acquisition of, loss of, or disclosure of **Protected Personal Information**.

24. **Dependent Business Interruption Loss** means an amount equal to the sum of:

- a. the net revenues that an **Insured Organization** would have earned had no **Outage** occurred (taking into account historical performance, seasonal variations, and demonstrable business developments); less all charges and expenses that do not necessarily continue during the **Period of Restoration**; and
- b. **Extra Expense**.

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Dependent Business Interruption Loss also does not include any:

- i. contractual penalties;
- ii. loss arising out of any liability to any third party;
- iii. costs or expenses to identify, correct, or remediate **Computer System** deficiencies or vulnerabilities or to make any updates or improvements to a **Computer System**;
- iv. costs or expenses to update, restore, replace, or repair a **Computer System**;
- v. loss incurred as result of an unfavorable business condition, loss of market, or any other consequential loss; or
- vi. legal costs or expenses of any type.

25. **Discovered** or **Discovery** means the moment when any member of **Management** first becomes aware of facts that would cause a reasonable person to believe that a **Cyber Incident, Privacy and Security Incident, System Failure, Cyber Crime Event**, or other event for which coverage may be triggered under this Policy has occurred or is likely to occur, regardless of:

- a. the time or place of the actual or potential **Cyber Incident, Privacy and Security Incident, System Failure, Cyber Crime Event**, or other event;
- b. whether the exact details of the **Cyber Incident, Privacy and Security Incident, System Failure, Cyber Crime Event**, or other event are known; or
- c. whether any actual or potential loss or damage has occurred.

All **Events** as referenced in the definition of **Related Acts** will be deemed to have been **Discovered** at the time the first such **Event** is **Discovered**.

26. **Essential Services** means services that are essential for the maintenance of vital functions of a sovereign state, including but not limited to financial institutions and associated financial market infrastructure, health services, or utility services.

27. **Event** means any **Cyber Incident** (in the context of **First Party Coverages**), **Privacy and Security Incident** (in the context of **First Party Coverages**), **System Failure, Reputational Harm Incident**, or **Cyber Crime Event** covered under this Policy.

28. **Extra Expense** means reasonable and necessary expenses in excess of the **Insured Organization's** normal operating expenses that the **Insured Organization** incurs during the **Period of Restoration** to avoid or minimize the suspension of business operations due to a **Cyber Incident** or **System Failure**.

29. **Extended Reporting Period** means the period of time after the end of the **Policy Period** shown in Item 3 of the Declarations for the extended coverage under the **Third Party Liability Insuring Agreements**, as described in Section IX.G. Extended Reporting Period.

30. **Extortion Event** means a credible threat to cause a **Cyber Incident**, introduce malicious code into a **Computer System**, or impair or restrict authorized users' access to a **Computer System** where such threat is made for the purpose of demanding money, securities, or cryptocurrency.

31. **Extortion Loss and Expenses** means any of the following amounts when incurred or paid with the **Insurer's** consent:

- a. ransom to avoid, eliminate or terminate an **Extortion Event** or **Ransomware Threat**;
- b. reasonable and necessary transaction fees incurred or paid by the **Insured** to make a ransom payment; and
- c. reasonable amounts charged by any vendor to investigate, respond to and terminate an **Extortion Event** or **Ransomware Threat**.

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32. First Party Insuring Agreement means any Insuring Agreement that is purchased as shown in Item 10 (III.B.) of the Declarations and listed under Section I.B. First Party Coverages or coverage providing first party coverage in this Policy.

31. First Response Services means the following services provided to an **Insured Organization** during the first 96 hours following the **Discovery** of a **Cyber Incident** or **Privacy and Security Incident**, or when an **Extortion Event** or **Ransomware Threat** is first made against an **Insured**, designed to help mitigate potential losses and damages:

- a. access to a dedicated 24/7 breach response hotline for immediate guidance and support;
- b. emergency consultation with experienced privacy attorneys and computer forensics experts to assess the nature and extent of the incident and develop an initial action plan;
- c. urgent preliminary notification to individuals or entities whose information may have been compromised, if deemed necessary to prevent imminent harm;
- d. initial deployment of credit monitoring and identity theft protection services for affected individuals in high-risk cases;
- e. priority access to public relations and crisis communication professionals to develop immediate communication strategies;
- f. rapid setup of a temporary call center to handle urgent inquiries from affected individuals;
- g. preservation of critical evidence related to the incident for forensic analysis and potential legal proceedings;
- h. emergency measures to contain the breach and prevent further unauthorized access or data exfiltration; or
- i. preliminary assessment of regulatory reporting requirements and preparation of initial notifications if immediately required by law.

The **Insured Organization** must notify the **Insurer** as soon as practicable, but no later than 24 hours after a **Cyber Incident** or **Privacy and Security Incident** is **Discovered**, or when an **Extortion Event** or **Ransomware Threat** is first made against an **Insured**. The **Insurer's** consent is required before engaging any vendor or incurring any expenses for the above services.

The **Insurer** will work with the **Insured Organization** to select appropriate vendors and counsel based on the specific circumstances of the incident. The assignment of counsel, vendors, and any related costs are subject to the **Insurer's** review and approval.

33. First Response Services Costs means the reasonable amounts incurred by an **Insured Organization**, with the **Insurer's** consent, for any **First Response Services**.

32. Fraudulent Third Party means any person or entity, other than an **Insured**, who:

- a. purports to be a legitimate business contact of an **Insured Organization**;
- b. impersonates an employee, executive, vendor, client, or other authorized party of an **Insured Organization**; or
- c. gains unauthorized access to an **Insured Organization's Computer System** or **Funds**,

with the intent to defraud or cause loss to an **Insured Organization** or any third party for whom an **Insured Organization** holds **Funds** in trust or in its care, custody, or control.

33. Funds means money, securities, bitcoin or similar cryptocurrency owned by or under the control of an **Insured Organization**.

34. Hardware means any electronic device, component, or equipment that is part of an **Insured Organization's Computer System**, including but not limited to servers, workstations, routers, and

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storage devices. **Hardware** does not include operational technology (OT) systems, industrial control systems, or similar equipment.

35. **Hardware Replacement Loss** means any reasonable and necessary: (i) costs, fees and expenses incurred by an **Insured Organization** with the **Insurer's** consent to repair or replace **Hardware**, whichever is less; (ii) costs, fees and expenses to upgrade or improve the **Hardware** beyond its original specifications, not exceeding 30% of the replacement cost of the **Hardware**; and (iii) reasonable and necessary forensic investigation expenses incurred by the **Insured Organization** with the **Insurer's** consent to determine the extent of any loss and whether to replace or repair the **Hardware**.

Hardware Replacement Loss shall not include:

- a. the economic or market value of **Hardware**; or
- b. loss, damage, corruption, or destruction caused from an **Insured's** use of illegally downloaded or non-licensed software or hardware, or any updates thereto.

36. **Impacted State** means a sovereign state where a **Cyber Operation** has had a major detrimental impact on:

- a. the functioning of that sovereign state due to critical disruption to the availability, integrity, or delivery of **Essential Services** in that state; or
- b. the security or defense of that sovereign state.

37. **Insured** means any:

- a. **Insured Organization**;
- b. natural person who is or was a director, officer, employee, leased worker, temporary employee, volunteer, or intern of an **Insured Organization**, but only while acting within the scope of their duties on behalf of an **Insured Organization**; and
- c. **Additional Insured**.

38. **Insured Organization** means the **Named Insured** and any **Subsidiary**.

39. **Insurer** means the insurance company identified in Item 1 of the Declarations.

40. **Incident** means any **Claim, Event, Extortion Event** or **Ransomware Threat**.

41. **Information Security Breach** means any actual or alleged unauthorized access to or unauthorized use, theft, loss, acquisition or accidental release or publication of **Payment Card Data, Protected Personal Information** or **Confidential Data** owned, licensed, maintained or stored by an **Insured** or maintained or stored by a third party under written contract or written agreement with an **Insured** because of a **Cyber Incident** or **Privacy and Security Incident**.

42. **Loss** means any **Damages, First Response Service Costs, Claim Expenses, Regulatory Penalties, PCI Fines, Expenses and Costs, Cyber Incident Loss, Extortion Loss and Expenses, Restoration Costs, Hardware Replacement Loss, Business Interruption Loss, Dependent Business Interruption Loss, Reputational Damage Income Loss, Preparation Costs, Cryptojacking Loss** or **Cyber Crime Loss**.

43. **Management** means any one or more of an **Insured Organization's** General Counsel, C-level executives (including but not limited to the Chief Executive Officer, Chief Financial Officer, Chief Operations Officer, Chief Legal Officer, Chief Privacy Officer, or Chief Information Security Officer), risk managers, board members, and their functional equivalents.

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- 44. Management Control** means, directly or indirectly, owning interests representing more than 50% of the voting, appointment or designation power, or having the right pursuant to a written agreement, by-laws, operating agreement or similar document, to select a majority of the board of directors, trustees or members of the management committee or management board or functional equivalent of an entity.
- 45. Merchant Services Agreement** means a contract between the **Insured Organization** and a payment-processing bank (also known as an acquiring bank) or other financial institution that establishes the terms and conditions for accepting and processing payment card transactions.
- 46. Multimedia Liability Wrongful Act** means any of the following actually or allegedly committed by an **Insured** in the normal course of an **Insured Organization's** business in communicating, reproducing, publishing, disseminating, displaying, releasing, transmitting, or disclosing any **Content**, including social media authorized by an **Insured**:
- a. defamation, libel, slander, trade libel, infliction of emotional distress, outrage, outrageous conduct, or other tort related to disparagement or harm to the reputation or character of any person or organization;
 - b. violation of the rights of privacy of an individual, including false light and public disclosure of private facts;
 - c. invasion or interference with an individual's right of publicity, including commercial appropriation of name, persona, voice, or likeness;
 - d. plagiarism, piracy, or misappropriation of ideas under implied contract;
 - e. infringement of copyright, domain name, trademark, trade name, logo, title, metatag, slogan, service mark, or service name; or
 - f. improper deep-linking or framing within electronic content.
- 47. Named Insured** means the entity listed in Item 1 of the Declarations.
- 48. Notification Expenses** means any reasonable and necessary costs, fees and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, to comply with any legal, regulatory, or contractual obligation to notify any individual or entity whose **Protected Personal Information** or **Confidential Data** was or is reasonably believed to have been accessed, acquired, disclosed, altered, or rendered unavailable without **authorization** as a result of a **Cyber Incident** or **Privacy and Security Incident**. **Notification Expenses** include any of the following:
- a. costs to provide government-mandated public notices related to the **Cyber Incident**;
 - b. expenses for drafting, printing, mailing, and postage to notify affected individuals or entities;
 - c. call center costs to handle inquiries from affected individuals or entities;
 - d. costs to notify individuals whose **Protected Personal Information** was or is believed to have been accessed, acquired, disclosed, altered, or rendered unavailable without authorization;
 - e. costs to operate a call center to handle inquiries from individuals whose **Protected Personal Information** was or is believed to have been affected; and
 - f. costs to provide credit monitoring, identity monitoring, and identity theft assistance for up to 2 years, or as required by applicable laws or regulations, whichever is greater, to affected individuals, including credit file monitoring and protection, identity theft insurance, and related consulting services.

Notification Expenses incurred during the first 96 hours following when the actual or suspected **Cyber Incident** was first **Discovered** shall be covered under Insuring Agreement I.B.10. **First Response** up to the applicable **First Response Services Costs Sublimit**. Any **Notification Expenses** that exceed the **First Response Services Costs Sublimit** during this initial 96-hour

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period, or that are incurred after this initial 96-hour period, shall be covered under Insuring Agreement I.B.1. **Breach Response**, subject to all applicable terms and conditions.

49. **Outage** means any:

- a. actual and measurable interruption, suspension, failure, degradation, or delay in the performance of a **Computer System**; or
- b. voluntary or intentional shutdown of an **Insured Organization's Computer System** as a result of a **Cyber Incident** to minimize, avoid, or reduce a **Business Interruption Loss** that would otherwise be incurred if no shutdown took place; provided that shutdown occurs with the **Insurer's** prior knowledge and consent.

50. **Payment Card Data** means any data related to a payment card, including but not limited to credit cards, debit cards, or prepaid cards, such as cardholder name, card number, expiration date, and security code.

51. **PCI Fines, Expenses and Costs** means all amounts, including but not limited to the fines, penalties, assessments, sanctions, card reissuance costs, chargebacks, and administrative reimbursement assessments and forensic investigation costs, that an **Insured Organization** is legally obligated to pay under the terms of a **Merchant Services Agreement** because of its actual or suspected failure to comply with the Payment Card Industry Data Security Standard.

52. **PCI-DSS Claim** means a written demand for a fine, penalty or assessment against an **Insured Organization** made by a payment card company or processor alleging failure to comply with the Payment Card Industry Data Security Standard because of an **Information Security Breach**.

53. **Period of Restoration** means:

- a. For **Business Interruption Loss** and **Dependent Business Interruption Loss**, the period of time that commences when the **Outage** of the **Computer System** begins, and ends on the earlier of:
 - a. the time when the **Computer System** is restored to the level of operation that existed immediately prior to such **Outage**;
 - b. the number of days stated in Item 7 of the Declarations after the start of the **Outage**.
- b. For **Reputational Damage Income Loss**, the period of time that commences when the **Reputational Harm Incident** is first **Discovered** and ends on the earlier of:
 - a. the time when the **Insured Organization's** business operations return to the level that would have existed had no **Reputational Harm Incident** occurred;
 - b. the number of days stated in Item 7 of the Declarations after the **Reputational Harm Incident** is first **Discovered**.

The **Period of Restoration** shall not be limited by the expiration of the **Policy Period**.

54. **Policy Period** means the period of time stated on Item 2 of the Declarations or any shorter period resulting from the cancellation of this Policy.

55. **Pollutants** include, but are not limited to, any solid, liquid, gaseous, biological, radiological or thermal irritant or contaminant, including smoke, vapor, dust, fibers, mold, spores, fungi, bacterium, microorganism, virus or other pathogen, diseases, germs, soot, fumes, asbestos, acids, alkalis, chemicals and waste. "Waste" includes, but it not limited to, materials to be recycled, reconditions or reclaimed and nuclear materials.

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56. Post Security Incident Remediation Costs means any reasonable and necessary costs, fees and expenses incurred by an **Insured Organization**, with the **Insurer's** consent, for third-party consulting services directly related to mitigating the risk of similar future incidents following a covered **Cyber Incident** or **Privacy and Security Incident**. These costs, fees and expenses are strictly limited to any of the following:

- a. engaging cybersecurity consultants to conduct a thorough review of an **Insured Organization's** existing information security policies and procedures;
- b. obtaining expert assistance in updating an **Insured Organization's** incident response plan based on lessons learned from the recent incident;
- c. procuring third-party services to perform a comprehensive risk assessment to identify potential vulnerabilities similar to those exploited in the recent incident;
- d. hiring consultants to assist with PCI DSS recertification efforts, if the recent incident impacted an **Insured Organization's** PCI compliance status;
- e. engaging legal experts to review and advise on updates to an **Insured Organization's** data protection and privacy policies in light of the recent incident;
- f. obtaining third-party assistance in developing or refining an information security awareness training program for employees, focusing on preventing similar incidents;
- g. procuring expert services to conduct simulated phishing exercises to assess the effectiveness of existing security measures; and
- h. engaging consultants to assist in the development or refinement of a vendor risk management program, if the incident involved third-party vulnerabilities.

Post Security Incident Remediation Costs do not include any:

- i) costs for implementing new security technologies or upgrading existing systems;
- ii) expenses related to the purchase of new hardware or software;
- iii) fees associated with ongoing managed security services;
- iv) costs for remediation activities or direct fixes to an **Insured Organization's** systems;
- v) regulatory fines or penalties;
- vi) compensation for an **Insured Organization's** employees involved in risk management activities; or
- vii) costs for general business consulting not directly related to mitigating cybersecurity risks.

The **Insurer** will only cover **Post Security Incident Remediation Costs** for a period of 60 days after the **Cyber Incident** or **Privacy and Security Incident** was first **Discovered**, unless otherwise agreed in writing by the **Insurer**. All consulting services must be provided by pre-approved vendors or those explicitly approved in writing by the **Insurer**.

57. Preparation Costs means reasonable and necessary costs, fees and expenses incurred by the **Insured**, with the **Insurer's** consent, to retain a service provider to prepare an **Insured Organization's** claim for:

- a. **Business Interruption Loss** sustained by an **Insured Organization** because of a **Cyber Incident** or **System Failure**;
- b. **Dependent Business Interruption Loss** sustained by the **Insured Organization** because of a **Cyber Incident** or **System Failure** affecting a **Service Provider's Computer System**; or
- c. **Reputational Damage Income Loss** sustained by the **Insured Organization** because of a **Reputational Harm Incident**.

58. Privacy and Security Incident means any:

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- a. actual or alleged failure to protect or properly dispose of **Protected Personal Information** or **Confidential Data**;
- b. unauthorized access to, use or disclosure of, or failure to protect **Protected Personal Information**;
- c. failure to disclose an event in paragraphs a. or b. above in violation of any **Privacy Regulation**;
- d. violation of any **Privacy Regulations** in connection with **Protected Personal Information**;
- e. unintentional failure by an **Insured Organization** to comply with its publicly posted privacy policy in connection with **Protected Personal Information**; or
- f. the failure to prevent a **Cyber Incident** which directly results in the:
 - i) alteration or deletion of **Protected Personal Information**;
 - ii) transmission of malicious code into a computer or network system that is not an **Insured Organization's Computer System**;
 - iii) participation in a denial of service attack directed against a computer or network system that is not an **Insured Organization's Computer System**; or
 - iv) failure to provide an authorized user with access to an **Insured Organization's Computer System**.

59. **Privacy Regulations** means any local, state, federal, or foreign law or regulation requiring an entity to protect the confidentiality and security of **Protected Personal Information**, including but not limited to the Health Insurance Portability and Accountability Act (HIPAA); Gramm-Leach-Bliley Act of 1999 ("G-L-B"), also known as the Financial Services Modernization Act of 1999; the California Consumer Privacy Act (CCPA); the California Security Breach Notification Act (CA SB 1386) and Massachusetts 201 CMR 17; Identity Theft Red Flags under the Fair and Accurate Credit Transactions Act of 2003; Section 5(a) of the Federal Trade Commission Act, 15 U.S.C. Section 45(a), but solely for alleged violations of unfair or deceptive acts or practices in or affecting commerce; the EU General Data Protection Regulation (GDPR); and any other similar federal, state, local or foreign privacy protection legislation.

60. **Protected Personal Information** means:

- a. any private, any non-public individually identifiable information from which a person may be uniquely and reliably identified or contacted, including without limitation an individual's name, telephone number, email address, social security number, medical or healthcare data or other protected health information, geolocation data, biometric record, driver's license number, state, provincial, or territorial identification number, financial account number, credit card number, debit card number, or access code or password that would permit access to that individual's financial account; and
- b. all other personal information as defined by any **Privacy Regulations**.

Protected Personal Information does not include any **Confidential Data**.

61. **Public Relations Expenses** means reasonable and necessary fees and expenses incurred by an **Insured Organization**, with the **Insurer's** written consent, for public relations and crisis management services to mitigate any actual or potential negative publicity resulting from an actual or suspected **Cyber Incident**.

62. **Ransomware Threat** means a demand for payment of money, cryptocurrency, or other valuable consideration in exchange for: (i) the release of data, (ii) the restoration of access to a **Computer System** that has been encrypted, locked, or otherwise impaired by malicious code, (iii) an agreement not to publicly release, share, sell, or otherwise disclose data that has been exfiltrated or copied, or (iv) an agreement to destroy or delete copies of data that have been exfiltrated from a **Computer System**.

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63. **Related Act** means any **Privacy and Security Incident, Information Security Breach, Multimedia Wrongful Act, Events, Extortion Threats or Ransomware Threats** that are logically or causally connected by or have as a common nexus any:
- a. fact, circumstance, situation, event, transaction or cause; or
 - b. series of related facts, circumstances, situations, events, transactions, or causes.
64. **Regulatory Penalties** means fines, penalties, or other amounts imposed on an **Insured Organization** by a regulatory agency in connection with a **Regulatory Proceeding**.
65. **Regulatory Proceeding** means an investigation, subpoena, request for information, or civil investigation proceeding or action resulting from a **Cyber Incident** or **Privacy and Security Incident**, by or behalf of any local, state, federal, or foreign government or any other organization with authority to enforce any **Privacy Regulations**.
66. **Reputational Harm Incident** means any communication by a third party to the public or subscribers through any media platform, including but not limited to television, print, radio, podcast, or digital formats, about an actual or alleged **Cyber Incident** or **Privacy and Security Incident**. For a communication to qualify as a **Reputational Harm Incident**, it must contain information that, if believed by the intended audience, would likely cause significant harm to an **Insured Organization's** reputation, such as by damaging an **Insured Organization's** credibility, trustworthiness, or competence in the eyes of its customers, clients, or the general public.
67. **Reputational Damage Income Loss** means the financial impact sustained by an **Insured Organization** as a direct result of a **Reputational Harm Incident**, comprising:
- a. The demonstrable reduction in net revenue from:
 - i. Lost business from existing customers;
 - ii. Lost business from prospective customers; and
 - iii. Reduced spending from continuing customers.
 - b. Increased costs directly attributable to the **Reputational Harm Incident**, including: Crisis management expenses; Customer retention programs; and
 - i. Necessary promotional expenses.
 - c. Less any costs or expenses the **Insured Organization** does not incur that they otherwise would have incurred absent the **Reputational Harm Incident**.

All amounts shall be calculated based on the **Insured Organization's** historical financial data and sustained during the period of time listed in Item 6 of the Declarations.

Reputational Damage Income Loss does not include any **Cyber Incident Loss**.

68. **Restoration Costs** means the reasonable amounts incurred by an **Insured Organization**, with the **Insurer's** consent, to:
- a. restore, recover, or recreate damaged or destroyed **Data Assets** stored within a **Computer System** to their condition immediately before a **Cyber Incident**, or
 - b. establish a new functional baseline where full restoration to pre-incident condition is not technically feasible or economically practical, limited to:
 - i. costs to implement verified replacement systems or databases to replace irretrievably damaged **Data Assets**;

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- ii. reasonable expenses to recreate essential business data from alternate sources;
- iii. necessary software reconfiguration costs to enable operation with partial or substitute **Data Assets**;
- iv. costs to establish and document modified business processes required by the permanent loss of specific **Data Assets**; or
- v. expenses to validate and test the stability and security of the new operational configuration.

Such costs shall not exceed what would have been incurred for complete restoration, had it been possible, and must be directly attributable to adapting to permanent data loss resulting from the **Cyber Incident**.

69. Retroactive Date means the date(s) listed in Item 10 of the Declarations.

70. Service Provider means an individual or entity that is not an **Insured** and provides the following to an **Insured Organization** pursuant to a written contract or written agreement:

- a. maintain, managing, or controlling **Computer Systems**;
- b. hosting or facilitating the **Insured Organization's** website; or
- c. any individual or entity providing administrative functions, human resources, marketing, or other outsourced services to an **Insured**.

Service Provider does not include:

- i) the providing of physical goods, products, or materials; or
- ii) an internet service provider (including, but not limited to, a provider of internet connectivity), public utility (including, but not limited to, an electric, gas, water or telecommunications service provider), or securities exchange or market.

71. Subsidiary means any entity in which the **Named Insured**:

- a. has **Management Control**; and
- b. has included the revenues in the **Application** for this Policy.

72. System Failure means an unplanned, unintentional, and unexpected total or partial outage, interruption, failure, suspension, or degradation of service of a **Computer System** that is quantifiable and caused by a negligent act, error, or omission of the **Insured Organization** or **Service Provider** in the course of:

- a. the day-to-day administration, operation, maintenance, repair, or other service of an **Insured Organization Computer System**; or
- b. the day-to-day administration, management, operation, maintenance, or servicing of **Data Assets**, including but not limited to data processing, software, patching, installation or programming, or the collection, compilation, processing, warehousing, mining, storage, or management of **Data Assets**.

System Failure does not include any:

- i) **Cyber Incident** or **Privacy and Security Incident**;
- ii) failure of hosted **Computer Systems** that results in an outage extending beyond the services provided to an **Insured Organization**;

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- iii) failure to adequately anticipate or plan for normal and above-normal operational demand for a **Computer System**, except where the demand is due to a denial-of-service attack;

73. Third Party Liability Insuring Agreement means any Insuring Agreement that is purchased as shown on Item 10 (III.A.) of the Declarations and listed under Section I.A. Third Party Liability Coverages of this Policy or coverage providing third party liability coverage in this Policy.

74. Waiting Period means the number of hours stated in Item 6 of the Declarations that an **Insured Organization** must wait, following a **Cyber Incident** or **System Failure**, before **Business Interruption Loss** or **Dependent Business Interruption Loss** coverage begins.

75. War means any armed conflict, whether declared or not, involving:

- a. two or more sovereign states;
- b. a sovereign state and one or more non-state organized armed groups;
- c. two or more non-state organized armed groups; or
- d. civil war, rebellion, revolution, insurrection, military action, or usurpation of power.

III. LIMITS, RETENTIONS AND WAITING PERIOD

A. Limits of Liability/Insurance

1. Maximum Policy Aggregate Limit

The amount shown in Item 10.I. of the Declarations represents the **Insurer's** maximum aggregate amount payable under this Policy for all **Loss** covered under all **Third Party Liability Insuring Agreements** and **First Party Insuring Agreements**, combined, during the **Policy Period**. This Maximum Policy Aggregate Limit applies regardless of the number or amount of **Insureds, Claims, Events, Extortion Events** or **Ransomware Threats**, or persons, entities or claimants covered by this Policy, Insuring Agreements triggered, or endorsements added.

2. Third Party Liability Coverages

Coverage under a **Third Party Liability Insuring Agreement** is only available if a corresponding amount is listed in Item 10.III.A. of the Declarations for that particular Insuring Agreement.

a. Aggregate Limit Under any one Insuring Agreement

Subject to Paragraph A.1. Maximum Policy Aggregate Limit, the applicable Insuring Agreement Aggregate Limit specified in Item 10.III.A. of the Declarations for each **Third Party Liability Insuring Agreement** represents the **Insurer's** maximum amount payable for all **Loss** arising from all **Claims** under each specific **Third Party Liability Insuring Agreement** during the **Policy Period**, regardless of the number of **Insureds, Claims** or persons, entities or claimants covered by this Policy.

The Insuring Agreement Aggregate Limit for each **Third Party Liability Insuring Agreement** shall be part of, and not in addition to, the Maximum Policy Aggregate Limit.

b. Each Claim Limit Under Any one Insuring Agreement

The applicable Insuring Agreement Each Claim Limit specified in item 10.III.A. of the Declarations for each **Third Party Liability Insuring Agreement** represents the **Insurer's**

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maximum amount payable for each **Claim**. This Limit encompasses all **Loss** associated with a single **Claim**.

The Insuring Agreement Each Claim Limit specified in item 10.III.A. of the Declarations is part of and not in addition to the Maximum Policy Aggregate Limit.

3. First Party Coverages

Coverage under each **First Party Insuring Agreement** is only available if a corresponding amount is listed in Item 10.III.B. of the Declarations for that particular Insuring Agreement.

a. Aggregate Limit under any one Insuring Agreement

Subject to Paragraph A.1. Maximum Policy Aggregate Limit, the applicable Insuring Agreement Aggregate Limit specified in Item 10.III.B. of the Declarations for each **First Party Insuring Agreement** represents the **Insurer's** maximum amount payable for all **Loss** arising from all **Events**, **Extortion Events** and **Ransomware Threats** under each specific **First Party Insuring Agreement** during the **Policy Period**, regardless of the number of **Insureds**, **Events**, **Extortion Events** or **Ransomware Threats**.

The Insuring Agreement Aggregate Limit for each **First Party Insuring Agreement** shall be part of, and not in addition to, the Maximum Policy Aggregate Limit.

b. Each Event, Extortion Event and Ransomware Threats Limit under any one Insuring Agreement

The applicable Insuring Agreement Each Event, Extortion Event and Ransomware Threat Limit specified in Item 10.III.B. of the Declarations for each **First Party Insuring Agreement** represents the **Insurer's** maximum amount payable for each **Event**, **Extortion Event** and **Ransomware Threat**, as applicable. This Limit encompasses all **Loss** associated with a single **Event**, **Extortion Event** or **Ransomware Threat**, as applicable.

c. First Response Services

(1) The First Response Services Sublimit specified in Item 10.III.B. of the Declarations represents the **Insurer's** maximum amount payable under this Policy for all **First Response Services Costs** incurred during the **Policy Period**, and such Sublimit is part of, and not in addition to, the Maximum Policy Aggregate Limit, and the applicable Insuring Agreement Limit stated in the Declarations.

(2) Any amounts paid under the First Response Services Sublimit will reduce the remaining Maximum Policy Aggregate Limit and the applicable Insuring Agreement Limit stated in the Declarations.

(3) Subject to the Maximum Policy Aggregate Limit of Liability, in the event additional **First Response Services Costs** are incurred beyond the **First Response Services Sublimit** during the Initial 96-Hour Period (as described in I.B.10), such **First Response Services Costs** incurred as a direct result of a **Cyber Incident** or **Privacy and Security Incident** will be subject to the Insuring Agreement Limit I.B.1. **Breach Response** stated in Item 10.III.B.1 of the Declarations.

(4) Subject to (3) above and the Maximum Policy Aggregate Limit of Liability, in the event additional **First Response Services Costs** are incurred for **First Response Services** beyond the Initial 96-Hour Period (as described in I.B.10), such **First Response**

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Services Costs incurred as a direct result of a **Cyber Incident** or **Privacy and Security Incident** will be subject to the Insuring Agreement Limit I.B.1. **Breach Response** stated in Item 10.III.B.1 of the Declarations. Coverage for such **First Response Services Costs** will cease the earlier of:

- a. completion of the **First Response Services** for such **Cyber Incident** or **Privacy and Security Incident**; or
- b. exhaustion of such Insuring Agreement Limit I.B.1 Breach Response.

4. Supplemental Coverages

a. Court Attendance Costs

The Attendance Costs Aggregate Limit stated in Item 10.IV.C.1 of the Declarations is the maximum amount payable for all loss of earnings (defined as income that would have been earned but for the required court attendance) and reasonable costs, less any savings of costs (such as commuting expenses, office overhead, or other expenses not incurred due to attendance), under I.C.1. Court Attendance Costs, resulting in a net reimbursement amount. This limit applies regardless of the number of **Insureds**, **Claims** or persons, entities or claimants covered by this Policy.

Subject to the Attendance Costs Aggregate Limit, the **Insurer** shall pay up to the amount stated in Item 10.IV.C.1 of the Declarations for each day of required attendance.

b. Criminal Reward

The Criminal Reward Limit stated in Item 10.IV.C.2 of the Declarations is the maximum amount the **Insurer** will pay under I.C.2. Criminal Reward.

c. Cryptojacking

The **Cryptojacking Limit** stated in Item 10.IV.C.3 of the Declarations is the maximum amount the **Insurer** will pay under I.C.3. **Cryptojacking**.

5. Claim Expenses Within the Limits

Claim Expenses are part of, and not in addition to, the Maximum Policy Aggregate Limit and the applicable Insuring Agreement Aggregate Limit for each **Third Party Liability Insuring Agreement**. Such **Claim Expenses** shall reduce the Maximum Policy Aggregate Limit and the applicable Insuring Agreement Aggregate Limit for each **Third Party Liability Insuring Agreement**.

6. Limit for Multiple Insuring Agreements

- a. In the event that a single **Incident** is covered in whole or in part under more than one Insuring Agreement, the **Insurer's** maximum aggregate amount payable for all **Loss** resulting from such **Incident** shall not exceed the largest single applicable Insuring Agreement Limit available under this Policy. In no case will the **Insurer** pay more than the Maximum Policy Aggregate Limit.
- b. Subject to 5.a., if multiple **Third Party Liability Insuring Agreements** apply to the same **Loss**, the **Insurer** shall pay no more than the highest applicable **Third Party Liability Insuring Agreement** Each Claim Limit under any one of such Insuring Agreements.

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- c. Subject to 5.a., if multiple **First Party Insuring Agreements** apply to the same **Loss**, the **Insurer** shall pay no more than the highest applicable **First Party Insuring Agreement** Each Event, Extortion Event or Ransomware Threat Limit, as applicable, under any one of such Insuring Agreements.

B. Retentions and Waiting Period

1. The Retentions specified in Item 10 of the Declarations apply to each **Incident** resulting in **Loss**, as applicable. The **Insured** must pay the applicable Retention before the **Insurer's** payment obligation begins. Retentions cannot be insured under this or any other policy.
2. For **Business Interruption Loss** and **Dependent Business Interruption**, the **Insurer** will pay the **Business Interruption Loss** and **Extra Expense** incurred by an **Insured Organization** during the **Period of Restoration**, in excess of the sum of the **Business Interruption Loss** and **Extra Expense** incurred during the **Waiting Period**, or the applicable Retention, whichever is greater. Subject to the satisfaction of the **Waiting Period** and the applicable Retention, the **Insurer** will pay the actual **Business Interruption Loss** and **Extra Expense** incurred starting at the beginning of the **Waiting Period**.
3. The Aggregate Retention equals the single Retention amount shown in Item 10 of the Declarations. Once the **Insured** has paid this Aggregate Retention amount for any covered **Incident** during the **Policy Period**, no further Retention will apply to any subsequent **Claims**, **Extortion Events**, **Ransomware Threats**, or **Events** first **Discovered** within that **Policy Period**, including any **Business Interruption Loss** or **Dependent Business Interruption Loss** that occurs after the applicable **Waiting Period**. The **Insurer** will then pay all covered amounts from the first dollar, subject to the Maximum Policy Aggregate Limit of Liability and applicable Insuring Agreement Limits.
4. No retention shall apply to Court Attendance Costs or Criminal Reward under Supplemental Coverages (Section I.C).

IV. RELATED INCIDENTS

- A. All **Incidents** involving the same **Event**, **Privacy and Security Incident**, **Information Security Breach**, **Multimedia Wrongful Act**, **Extortion Event**, **Ransomware Threat** or **Related Act** shall be considered a single **Incident**. Only one Retention shall be applicable to such single **Incident**. In the event such single **Incident** triggers more than one Coverage Part or Insuring Agreement with different Retentions, the highest applicable Retention shall apply. For the avoidance of doubt, when a single **Incident** could be covered under multiple Coverage Parts or Insuring Agreements with different Retention amounts, the Coverage Part or Insuring Agreement with the highest Retention amount will determine the applicable Retention for the entire **Incident**.
- B. All **Incidents** constituting a single **Incident** shall be deemed to have been first made on the earlier of the following dates: (1) the earliest date on which any **Claim**, **Extortion Threat** or **Ransomware Threat** that is part of such single **Incident** was first made against any **Insured** or deemed made by the reporting provisions of this Policy or any other policy; (2) the earliest date on which any **Event** that is part of such single **Incident** was first **Discovered** by any **Insured**; or (3) the earliest date on which any such **Event**, **Privacy and Security Incident**, **Information Security Breach**, **Multimedia Wrongful Act**, **Extortion Event**, **Ransomware Threat** or **Related Act** giving rise to

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or involved in any such single **Incident** was reported under this Policy or any other policy providing similar coverage, regardless whether such date is before or during the **Policy Period**.

- C. In no event shall a single lawsuit or proceeding constitute more than one **Incident** subject to more than one Retention. All **Privacy and Security Incidents, Cyber Incidents, Information Security Breaches** or **Multimedia Wrongful Acts** that are asserted in any one **Claim** shall be considered **Related Acts**.

V. EXCLUSIONS

This Policy does not apply to any **Claim, Event, Extortion Threat, Ransomware Threat** or **Loss** based upon, arising out of or attributable to any actual or alleged:

A. ADA

violation of the Americans with Disabilities Act or any similar law, provided, however, that this exclusion shall only apply to Insuring Agreement I.A.4. Multimedia Liability.

B. Advertising or Misrepresentation

false or deceptive advertising or misrepresentation in any **Content**, including but not limited to, inaccurate, inadequate, or incomplete description of the price of any good, product or service; or any failure of any good, product or service to conform with quality, quantity or performance as represented in any **Content**.

C. Antitrust or Unfair Trade Practices

1. antitrust, price fixing, monopolization, restraint of trade, price discrimination, predatory pricing or violation of the Sherman Act, the Clayton Act, or any federal statutory provision regarding antitrust, price fixing, monopolization, restraint of trade, price discrimination or predatory pricing;
2. unfair competition, dilution, deceptive trade practices, civil actions for consumer fraud;
3. violation of:
 - a. the Federal Trade Commission Act; or
 - b. the Racketeer Influenced and Corrupt Organizations Act; or
4. violation of any rules or regulations promulgated under or in connection with the above statutes, or any similar provision of any local, state, federal, common, or foreign laws or legislation,

provided that paragraph 2. shall not apply to any **Claim** under Insuring Agreement I.A.1. Privacy and Security Liability and Insuring Agreements I.A.4. Multimedia Liability, and paragraphs 2. and 3.a. shall not apply to any **Claim** under Insuring Agreement I.A.2. Privacy Regulatory Defense.

D. Assumed Liability

assumption of the liability of others under any contract or agreement; provided, however, that this exclusion does not apply to Insuring Agreements I.A.4. Multimedia Liability with respect to liability of others for **Content** furnished by the **Insured** that the **Insured** agrees to assume under a hold harmless or indemnity agreement but only to the extent such liability arises out of any **Media Liability Wrongful Act**.

E. Bodily Injury

bodily injury, mental anguish, emotional distress, humiliation, sickness, disease or death of any person; however, this exclusion shall not apply to any **Claim** for mental anguish, emotional distress or humiliation under Insuring Agreement I.A.1. Privacy and Security Liability, Insuring Agreement

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I.A.4. Multimedia Liability, Insuring Agreement I.A.5 Contingent Bodily Injury and Property Damage – Third Party, and Insuring Agreement I.A.2. Privacy Regulatory Defense.

F. Conduct

dishonest, fraudulent, criminal, or malicious act or omission of any member of **Management** or carried out with the knowledge of any member of **Management**. However, this exclusion does not apply to **Claim Expenses** incurred in defending any such **Claim** until and unless a final, non-appealable adjudication establishes that a member of **Management** committed or had knowledge of such dishonest, fraudulent, criminal, or malicious act or omission, at which time the **Named Insured** will reimburse the **Insurer** for all **Claim Expenses** the **Insurer** incurred or paid in defending such **Claim**. This exclusion will not apply to any natural person **Insured** who did not participate in or was involved in the dishonest, fraudulent, criminal, or malicious act or omission.

G. Communications Decency

failure to prevent the publication or dissemination of indecent **Content**.

H. Contest or Game of Chance

1. contest, discount, coupon, rebate, prize, game of chance, sweepstake, award or other valuable consideration given in excess of the contracted or expected amount; or
2. contest, gambling, lottery, promotional game, sweepstakes, coupon, prize or other game of chance; provided, however, that this subparagraph shall not apply to any **Claim** under Insuring Agreement I.A.4. Multimedia Liability.

I. Contractual

contractual liability or obligation or any breach of contract or agreement either oral or written, provided, however, that this exclusion will not apply:

1. with respect to the coverage provided by Insuring Agreement I.A.1. Privacy and Security Liability and Insuring Agreement I.B.1. Breach Response Costs, to an **Insured's** obligations to maintain the confidentiality or security of **Protected Personal Information** or **Confidential Data**;
2. with respect to the coverage provided by Insuring Agreement I.A.4. Multimedia Liability, to misappropriation of ideas under implied contract;
3. with respect to the coverage provided by Insuring Agreement I.A.3. PCI-DSS Loss; or
4. to the extent an **Insured** would have been liable in the absence of such contract or agreement.

J. Cost Guarantees or Estimates

guarantee, representation, or promise relating to any contract price, cost, cost saving, return on investment, or profitability, including an **Insured's** failure to meet any cost guarantee, representation, or contract price.

K. Discrimination or Employment Practices

1. employment-related act, omission, error, misstatement, misleading statement, neglect, or breach of duty (including any wrongful dismissal, discharge or termination, discrimination, harassment, retaliation or other employment-related claim); or
2. discrimination or harassment based on race, color, religion, age, sex disability, pregnancy, sexual orientation, national origin, or any other legally protected status,

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provided that paragraph 1. does not apply to any **Cyber Incident Loss** under Insuring Agreement I.B.1. Breach Response involving a **Cyber Incident** or **Privacy and Security Incident** that impacts an **Insured Organization's** current or former employee.

L. ERISA

violation of the responsibilities, obligations or duties imposed upon fiduciaries by the Employee Retirement Income Security Act of 1974, as amended, or any similar local, state, federal, common, or foreign laws or legislation.

M. Governmental Orders

court order or demand requiring an **Insured** to provide **Protected Personal Information** to any domestic or foreign law enforcement, administrative, regulatory, or judicial body or other governmental authority. However, this exclusion will not apply to any **Claim Expenses** and **Regulatory Penalties** that an **Insured** becomes legally obligated to pay resulting from the **Insured's** response to a **Regulatory Proceeding**.

N. Infrastructure Failure

electrical, mechanical, Internet, telecommunication, cable or satellite failure, fluctuation or outage not under the direct operational control of an **Insured**, however caused, including any electrical power interruption, short-circuit, surge, brownout or blackout.

O. Insured versus Insured

Claim made by or on behalf of:

1. an **Insured**, or by a stockholder or member in their capacity as such against an **Insured**; however, this exclusion will not apply to an otherwise covered **Claim** made by:
 - a. any natural person **Insured** arising from a **Cyber Incident** or **Data Breach**;
 - b. any **Insured** when acting in the capacity as a customer; or
 - c. an **Additional Insured**;
2. any business enterprise in which an **Insured** has greater than a twenty percent (20%) ownership interest; or
3. any parent company or other entity that owns more than twenty percent (20%) of an **Insured**.

P. Intellectual Property

1. validity/invalidity of a patent, patent infringement, misuse of patent, or any process, style of doing business, or trade secret;
2. infringement, misappropriation, dilution, or violation of any right to a trademark, trade name, service mark, service name, trade dress, title, slogan, or logo;
3. copyright infringement, plagiarism, or misappropriation of ideas under an implied contract;
4. invasion of an individual's right of privacy or publicity, including false light, intrusion upon seclusion, commercial misappropriation of likeness, and public disclosure of private facts;
5. domain name infringement or improper deep-linking or framing; or
6. other intellectual property rights in computer software, including its source code or any other content of a software program,

provided that this exclusion shall not apply to any **Claim** under Insuring Agreement I.A.4. Multimedia Liability Coverage or to such intellectual property related matters occurring as the direct result of an **Event**.

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Q. Licensing/Rights Dispute

1. any action brought by or on behalf of intellectual property licensing or rights organizations, including but not limited to the American Society of Composers, Authors and Publishers ("ASCAP"), the Society of European Stage Authors and Composers ("SESAC"), SoundExchange or Broadcast Music, Inc. ("BMI"); or
2. any disputes brought by a third party relating to the ownership or exercise of rights in material or content, or the obligation to pay royalties or licensing fees arising from the use of material or content.

R. Merchant Liability

charge back, interchange fee, discount fee, service related fee, rate, or charge; or liability or fee incurred by an **Insured** due to a merchant service provider, payment processor, payment card company, or bank reversing or freezing payment transactions, provided that this exclusion will not apply to coverage afforded under Insuring Agreement I.A.3.PCI-DSS Loss.

S. Natural Perils

physical event or natural disaster, including but not limited to fire, flood, earthquake, volcanic eruption, explosion, lightning, wind, hail, tidal wave, or landslide.

T. Nuclear

exposure or threatened exposure to any radioactive matter or any form of radiation or contamination by radioactivity of any kind or from any source, including any nuclear reaction, nuclear radiation, or radioactive contamination from any kind of nuclear fuels, waste or the combustion or ignition of nuclear fuel. This exclusion applies regardless of whether any other cause, event, material, or product contributed concurrently or in any sequence to any **Incident**, or the liability or legal obligation alleged or existing.

U. Personal Injury or Advertising Injury

personal injury or advertising injury, including consequential bodily injury, involving:

1. False arrest, detention, or imprisonment;
2. Malicious prosecution;
3. Wrongful eviction, wrongful entry, or invasion of the right of private occupancy;
4. Oral or written publication of material that slanders, libels, or disparages a person, organization, or their goods, products, or services;
5. Oral or written publication of material that violates a person's right of privacy;
6. Use of another's advertising idea in the **Insured's** advertisement; or
7. Infringement of another's copyright, trade dress, or slogan in the **Insured's** advertisement.

However, this exclusion does not apply to:

- a. Any otherwise covered **Claim** for a **Multimedia Liability Wrongful Act** under Insuring Agreement I.A.4. Media Liability, to the extent the offense constitutes a covered **Multimedia Liability Wrongful Act**.
- b. Any otherwise covered **Claim** for a **Privacy and Security Incident** under Insuring Agreement I.A.1. Privacy and Security Liability, to the extent the offense constitutes a covered **Privacy and Security Incident**.

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V. Pollutants

1. discharge, dispersal, seepage, migration, release, or escape of, or any threatened discharge, migration, release, or escape of **Pollutants**; or
2. request, demand, order, statutory or regulatory requirement that an **Insured** or others detect, report, test for, monitor, clean up, remove, remediate, contain, treat, detoxify, or neutralize, or in any way respond to, assess the effects of **Pollutants**; including any **Claim**, suit, notice, or proceeding by or on behalf of any governmental authority or quasi-governmental authority, a potentially responsible party or any other person or entity for any amounts whatsoever because of detecting, reporting, testing for, monitoring, cleaning up, removing, remediating, containing, treating, detoxifying, or neutralizing, or in any way responding to, or assessing the effects of **Pollutants**. This exclusion applies regardless of whether any other causes, events, materials, or products contributed concurrently or in any sequence to an **Incident**, or the liability or legal obligation alleged or existing.

W. Prior Knowledge and Pending Matters

1. that any member of **Management** knew or could reasonably have foreseen on or before the inception date of the first NEXUS Cyber Policy issued by the **Insurer** might be the basis of a **Claim** or **Loss** under this Policy; or
2. related to acts, errors, omissions, facts, circumstances, situations, events, transactions, pending or prior litigation, or written notice given under any insurance policy of which this Policy is a renewal or replacement, or which it succeeds in time, as well as all future claims or losses that constitute **Related Acts**.

X. Property Damage

1. physical injury to tangible property and any resulting loss or corruption of data or information, including all resulting loss of use of that property, data or information; or
2. loss of use of tangible property that is not physically injured.

However, this exclusion does not apply to any **Claim** for property damage under Insuring Agreement I.A.5 Contingent Bodily Injury and Property Damage – Third Party, or to **Loss** of other property covered under Insuring Agreement I.B.9. Cyber Crime.

Y. Retroactive Date

any act, error, omission, **Privacy and Security Incident**, **Information Security Breach**, **Multimedia Wrongful Act**, **Event**, **Extortion Event**, or **Ransomware Threat** that occurred prior to the **Retroactive Date**, or **Related Acts** where the first such act, error, omission, **Privacy and Security Incident**, **Information Security Breach**, **Multimedia Wrongful Act**, **Event**, **Extortion Event**, or **Ransomware Threat** took place prior to the **Retroactive Date**.

Z. Securities

1. ownership, sale or purchase of, or the offer to sell or purchase stock or other securities; or
2. violation of any securities laws, including the Securities Act of 1933, as amended, the Securities Exchange Act of 1934, as amended, the Investment Act of 1940, as amended, or any state “Blue Sky Laws” or any similar local, state, federal, common, or foreign laws or legislation,

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provided that this exclusion shall not apply to any **Claim** made against an **Insured** alleging a **Data Breach** or **Privacy and Security Incident** in violation of the Securities and Exchange Commission (SEC) regulation S-P (17 C.F.R. § 248).

AA. Unsolicited Communications

unsolicited electronic dissemination of faxes, emails or other communications by or on behalf of an **Insured** to multiple actual or prospective customers of an **Insured** or any other third party, including but not limited to actions brought under the Telephone Consumer Protection Act ("TCPA"), any federal or state anti-spam statutes, or any other local, state, federal, common, or foreign laws or legislation relating to a person's or entity's right of seclusion. Provided, however, this exclusion shall not apply to such unsolicited communications occurring as the direct result of a **Data Breach** or **Privacy and Security Incident**.

BB. Violation of Acts/Laws any actual or alleged violation of:

1. False Claims Act (31 U.S.C. §§ 3729-3733);
2. the Controlling the Assault of Non-Solicited Pornography and Marketing Act of 2003 (CAN-SPAM);
3. Michigan's Video Rental Privacy Act and the Video Privacy Act of 1988; or
4. any local, state, federal, common, or foreign laws or legislation similar to the laws described in paragraphs 1. through 3. above.

CC. War and Cyber War

This Policy does not apply to:

1. **War**; or
2. **Cyber War**,

however, this exclusion does not apply to:

- a. a **Cyber Operation** affecting a **Computer System** used by an **Insured Organization** or its **Service Providers**, provided such **Computer System** is not physically located in an **Impacted State**; or
- b. **Cyber Terrorism**.

DD. Wrongful Collection and Use

1. any actual or alleged violation of the Illinois Biometric Information Privacy Act or any similar local, state, federal, common, or foreign laws or legislation; or
2. any actual or alleged unlawful or unauthorized collection, processing, storage, sharing or sale of **Protected Personal Information**.

VI. REPORTING OF CLAIMS AND EVENTS

A. Notice of Claim

As a condition precedent to coverage under the **Third Party Liability Insuring Agreements**, the **Insureds** must give the **Insurer** written notice of any **Claim** made during the **Policy Period** or **Extended Reporting Period**, if applicable, as soon as practicable, once any member of **Management** becomes aware or receives notification of such **Claim**, but in no event later than:

1. sixty (60) days after the expiration of the **Policy Period**; or

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2. the expiration of the **Extended Reporting Period**, if applicable.

B. Notice of Loss

As a condition precedent to coverage under the **First Party Insuring Agreements**, the **Insureds** shall provide written notice to the **Insurer** of any **Event**, **Extortion Event** or **Ransomware Threat**, as soon as practicable after any member of **Management** first **Discovered** such **Event** or is first made aware of such **Extortion Event** or **Ransomware Threat**, or any such **Loss** under any **First Party Insuring Agreement** is incurred.

C. Notice of Circumstance

If, during the **Policy Period**, any member of **Management** becomes aware of circumstances that could reasonably lead to a **Claim** directly resulting from a **Privacy and Security Incident**, **Cyber Incident**, **Information Security Breach**, or **Multimedia Wrongful Act** that occurred on or after the **Retroactive Date** but prior to the end of the **Policy Period**, an **Insured** may provide written notice to the **Insurer**. If such notice is given during the **Policy Period**, any subsequent **Claim** arising from such circumstances will be deemed to have been first made during the **Policy Period**. No coverage shall be provided under this Policy for any fees, costs, expenses or other loss incurred as a result of such circumstances prior to the time a **Claim** is actually made.

To exercise this right, the **Insured** must provide the following in their written notice:

1. a description of the circumstances including the reasons for anticipating a **Claim**;
2. the potential damages or injury;
3. names of potential claimants; and
4. how the **Insured** became aware of the circumstances.

The **Insured** must also provide any additional information the **Insurer** reasonably requests.

Notice of an **Event**, **Extortion Event** or **Ransomware Threat** as described in Section VI.B. Notice of Loss shall also constitute notice under this provision.

D. Confidential Events

An **Insured** may receive an express request from a law enforcement authority or other governmental agency not to disclose certain information about an actual or possible **Event**, **Extortion Event** or **Ransomware Threat**. In such circumstances, a notice of such **Event**, **Extortion Event** or **Ransomware Threat** or of a **Claim** relating to or arising out of such **Event**, **Extortion Event** or **Ransomware Threat**, shall be considered timely under the Policy if:

1. the **Insured** withholds from the **Insurer** only that portion of the information that it has been expressly instructed not to share with the **Insurer**; and
2. the **Insured** provides notice of such **Claim**, **Event**, **Extortion Event** or **Ransomware Threat** to the **Insurer** when legally permitted to do so.

E. Proof of Loss

1. In the event of any **Event**, **Extortion Event** or **Ransomware Threat**, the **Insureds** shall take all reasonable steps to mitigate **Loss**, continue operations, preserve any contractual rights or remedies, and protect and preserve any evidence which may be reasonably necessary for examination in the adjustment of any **Event**, **Extortion Event** or **Ransomware Threat**.

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2. As a condition precedent to coverage under the applicable **First Party Insuring Agreements** of this Policy, the **Insured** shall provide the **Insurer** with a sworn Proof of Loss with full particulars of any **Event**, **Extortion Event** or **Ransomware Threat** as soon as practicable after such **Event**, **Extortion Event** or **Ransomware Threat** is reported to the **Insurer**. The Proof of Loss shall provide complete details of any amounts requested for reimbursement or payment, and shall explain how such amounts were calculated, what assumptions were made, and include any relevant documentary evidence that substantiates the Proof of Loss. If requested, such Proof of Loss shall also include written reports of any service providers who participated in the investigation or response to such **Event**, or any written reports or correspondence to or from any law enforcement, governmental authority or agency, industry regulatory body or similar entity. The **Insured** is not obligated to provide any information that is specifically subject to a written gag order, while such gag order is in full force and effect. If and when such written gag order is no longer in effect, such information may then be requested by us as part of the Proof of Loss.
3. The **Insurer**, or a third party acting on the **Insurer's** behalf, shall be permitted, but not obligated, to inspect, assess, and audit the **Insured's** evidence relevant to the adjustment of any **Event**, **Extortion Event** or **Ransomware Threat**. Any additional expense related to such inspection shall be borne by the **Insurer** and shall not erode any Insuring Agreement Limits or the Maximum Policy Aggregate Limit under this Policy. The **Insureds** shall cooperate with, and provide any additional information reasonably requested by the **Insurer** in the **Insurer's** investigation of any **Event**, **Extortion Event** or **Ransomware Threat**, and shall permit and facilitate the **Insurer's** investigation and audit of any evidence relevant to the adjustment of any **Event**, **Extortion Event** or **Ransomware Threat**, including any information requests from third party service providers on the **Insurer's** behalf.
4. The **Insured** must submit a written, sworn proof of **Business Interruption Loss**, **Dependent Business Interruption Loss**, and **Reputational Damage Income Loss** providing details relating to the particulars and composition of the amounts claimed in the event of a **Cyber Incident**, **System Failure**, or **Reputational Harm Incident**, as applicable. The proof of loss shall be submitted with reasonable promptness, but in no event later than six (6) months after the date initial notice of such loss was submitted to the **Insurer**. For **Reputational Damage Income Loss**, the proof of loss must specifically include:
 - a. Documentation of baseline revenue figures for at least the 12-month period preceding the **Reputational Harm Incident**;
 - b. Detailed calculation of lost revenue during the covered period, including:
 - i. Evidence of customer loss or reduced spending directly attributable to the **Reputational Harm Incident**;
 - ii. Analysis of seasonal or market trends that might have affected revenue regardless of the **Reputational Harm Incident**;
 - iii. Documented communications from customers specifically citing the **Reputational Harm Incident** as a reason for terminating or reducing business;
 - c. Documentation of crisis management, promotional, and customer retention expenses incurred specifically to address the **Reputational Harm Incident**;
 - d. Calculation of cost savings resulting from reduced business activities during the period; and
 - e. Independent third-party analysis of media coverage and sentiment related to the **Reputational Harm Incident**, if available. The amount of **Business Interruption Loss**, **Dependent Business Interruption Loss**, and **Reputational Damage Income Loss** shall be payable by the **Insurer**, to the **Insured**, within sixty (60) days after the **Insurer's** formal

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agreement to the amounts claimed in the proof of loss. If the **Insured** and the **Insurer** fail to agree on the amount of **Business Interruption Loss**, **Dependent Business Interruption Loss**, or **Reputational Damage Income Loss**, the **Insurer** and **Insured** shall each, upon written demand from the other made within sixty (60) days after the **Insurer's** receipt of the **Insured's** sworn proof of loss as set forth above, select a competent and disinterested appraiser. The appraisers shall then select a competent and disinterested umpire. If, after fifteen (15) days, the two appraisers fail to agree upon such umpire, then upon the written request of either party such umpire shall be selected by a judge of a court of competent jurisdiction in the county in which such appraisal is pending. Then, the appraisers shall appraise the loss at a reasonable time and place, stating separately the value at the time of loss and the amount of loss. If the appraisers fail to agree, they shall submit their differences to the umpire. An award in writing signed by any two of them shall determine the amount of loss. The **Insured** and the **Insurer** shall each pay its chosen appraiser and shall bear equally the other expenses of the appraisal and of the umpire.

F. Notice

All notices under this Policy of any **Claim**, **Event**, **System Failure**, **Reputational Harm Incident**, **Extortion Event**, **Ransomware Threat**, **Cyber Crime Event**, **Cryptojacking Attack**, or circumstance that could give rise to a **Claim**, and any **Proof of Loss** shall be provided to the **Insurer** in writing and given by email, prepaid express courier or certified mail at the address specified in Item 8 of the Declarations. If notice is given as described, it shall be deemed to be received and effective upon the date of the transmittal, subject to proof of transmittal.

G. Fraudulent Claims

If it is determined by final adjudication, arbitral tribunal or written admission by the **Insured**, that the **Insured** notified the **Insurer** of a **Claim**, **Event**, **Extortion Event**, **Ransomware Threat** or **Loss** knowing it to be false or fraudulent in any way, the **Insurer** will have no responsibility to pay such **Claim**, **Event**, **Extortion Event**, **Ransomware Threat** or **Loss**, and the **Insurer** may recover any amounts paid in respect of such **Claim**, **Event**, **Extortion Event**, **Ransomware Threat** or **Loss**. The **Insurer** reserves the right to terminate this Policy from the date of the false or fraudulent act. If the **Insurer** exercises this right, the **Insurer** will not be liable to return any premium to the **Insured**. However, this will not affect any other claim under this Policy which has been previously notified to the **Insurer**.

VII. DEFENSE, SETTLEMENT, COOPERATION, AND ALLOCATION

A. Defense and Settlement

1. The **Insurer** shall have the right and duty to defend any **Claim** seeking **Damages** against an **Insured** to which this insurance applies, even if such **Claim** is groundless, false, or fraudulent. The **Insurer's** right and duty to defend shall cease when the applicable Insuring Agreement Limit or Maximum Policy Aggregate Limit has been exhausted by the payment of **Loss**. In such event, the **Insurer** will tender control of the defense to the **Insured**, who agrees to accept such tender as a condition precedent to coverage.
2. The **Insurer** shall have the right to make any investigation the **Insurer** deems necessary. The **Insurer** shall have the right to select and appoint counsel for any **Claim** as the **Insurer** deems necessary, subject to Section IX.A. Selection of Counsel and Vendors.
3. The **Insured** shall not incur any **Claim Expenses** without the prior written consent of the **Insurer**.

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4. The **Insured** shall not admit or assume liability, offer to settle or agree to any judgment or settlement in connection with any **Claim** without the **Insurer's** prior written consent, which such consent shall not be unreasonably withheld or delayed. The **Insurer** shall not be liable under this Policy for **Loss** incurred as a result of any such admission, assumption, offer or agreement to which the **Insurer** did not consent.
5. Notwithstanding paragraph 4. above, if the **Insured** is able to fully and finally settle all **Claims** for **Loss**, subject to a single Retention, for an aggregate amount that does not exceed the applicable Retention, then the **Insurer's** consent is not required for such settlement.
6. The **Insurer** shall not settle any **Claim** without the prior written consent of the **Insured**. If the **Insured** refuses to consent to a settlement that is both acceptable to the claimant and recommended by the **Insurer**, then the **Insurer's** liability for such **Claim** shall be limited to the amount for which the **Claim** could have been settled, plus 80% of all subsequent covered **Loss** in excess of such settlement amount. The remaining 20% shall be borne by the **Insured** at its own risk and shall be uninsured.

B. Cooperation and Consent

1. The **Insured** agrees to cooperate with the **Insurer** in the defense, investigation, and settlement of any **Claim**. Upon the **Insurer's** request, the **Insured** shall submit to examination under oath, attend hearings, depositions, and trials, assist in effecting settlement, secure and give evidence, obtain the attendance of witnesses, and otherwise cooperate in the investigation and defense of any **Claim**.
2. The **Insured** agrees, with respect to a **Claim**, to provide the **Insurer** with all information, assistance, and cooperation which the **Insurer** may reasonably require. The **Insured** further agrees not to take any action that could prejudice the **Insurer's** position or the **Insurer's** potential or actual rights of recovery.
3. Notwithstanding anything to the contrary in this Policy, the **Insured** has the right to incur reasonable and necessary costs in response to an **Event**, **Extortion Event**, **Ransomware Threat** without the **Insurer's** consent. However, the **Insurer** shall, at the **Insurer's** sole discretion, reimburse the **Insured** only for such costs that the **Insurer** deems to be reasonable and necessary under the applicable **First Party Insuring Agreements**.

C. Allocation of Loss

If an **Insured** who is afforded coverage for a **Claim** incurs an amount consisting of both covered **Loss** and uncovered loss under this Policy, then:

1. **Claim Expenses**: 100% of **Claim Expenses** incurred by any **Insured** on account of such **Claim** shall be considered covered **Loss**, except in the case of any **Insured** for whom coverage is excluded pursuant to the applicable exclusions in this Policy.

In cases where coverage is excluded for an **Insured**, **Claim Expenses** shall be allocated between covered **Claim Expenses** and uncovered expenses based on the relative legal and financial exposures of, and the relative benefits obtained by, the parties to such matters.

2. **Other Loss**: All remaining loss (other than **Claim Expenses**) incurred by such **Insured** from such **Claim** shall be allocated between covered **Loss** and uncovered loss based on the relative legal and financial exposures of, and the relative benefits obtained by, the parties to such matters.

D. Dispute Resolution

If any dispute arises between any **Insured** and the **Insurer** involving this Policy, the **Named Insured** and the **Insurer** agree that such dispute will first be submitted to non-binding mediation administered by a provider to which the parties agree. The parties will cooperate with one another

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and the mediation provider in selecting a mediator and in scheduling mediation proceedings and will share equally in the mediation costs.

If mediation does not resolve or settle the dispute, either party may:

1. commence a judicial proceeding; or
2. with the consent of the other party commence an arbitration proceeding in accordance with the commercial arbitration rules of the selected provider in effect at the time of dispute. The decision of the arbitrator or arbitrators will be final, binding, and any award may be confirmed and enforced in any court of competent jurisdiction.

VIII. SUBROGATION

- A. If any payment is made under this Policy, the **Insurer** shall be subrogated to the extent of such payment to all the **Insured's** rights of recovery against any person or organization, and the **Insured** shall execute all documents required and shall do everything necessary to secure and preserve such rights, including the execution of such documents necessary to enable the **Insurer** effectively to bring action or suit in the name of the **Insured**. The **Insurer** assumes no duty to seek a recovery of any amount paid under this Policy.
- B. The **Insurer** shall waive the **Insurer's** right to be subrogated to all the **Insured's** rights of recovery, provided the **Insured** has waived its rights of recovery in a written contract or written agreement with a customer or **Client** that is executed prior to a circumstance that may give rise to an **Incident**. This waiver applies only with respect to the specific written contract or written agreement existing between an **Insured Organization** and such customer or **Client** and shall not be construed to be a waiver with respect to other operations of such customer or **Client** in which such **Insured Organization** has no written or contractual interest.
- C. If the **Insurer** recovers any portion of an amount paid by the **Insurer** under this Policy, the **Insurer** will reinstate the applicable Insuring Agreement Limits of this Policy with any amounts recovered up to such amount paid, less the actual cost of recovery.

IX. GENERAL TERMS AND CONDITIONS

A. Selection of Counsel and Vendors

The selection of counsel, forensic experts, public relations firms, and other vendors in response to a **Claim**, or other **Event**, **Extortion Event** or **Ransomware Threat** covered under this Policy shall be mutually agreed upon between the **Insured** and the **Insurer**. The **Insurer** reserves the right to review and approve all vendor selections and associated costs. The **Insurer** will not unreasonably withhold approval for vendors on the **Insurer's** pre-approved panel list. The **Insured** agrees to cooperate with the **Insurer** in the selection process and to consider the **Insurer's** recommendations in good faith.

Any fees, costs, or expenses incurred by the **Insured** for vendors that have not been approved by the **Insurer** in writing shall not be covered under this Policy and shall remain the sole responsibility of the **Insured**.

B. Legislation

Any legislation referenced in this Policy includes any amendments thereto or any rules or regulations promulgated thereunder.

C. Cancellation and Non-Renewal

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1. The **Insurer** may only cancel this Policy prior to the expiration date of the **Policy Period** if the **Named Insured** fails to pay premium when due. In such an event, the **Insurer** will mail or deliver a notice of such cancellation to the **Named Insured**, at its address shown on Item 1 of the Declarations, at least ten (10) days prior to the effective date of cancellation. Such notice shall state the reason for cancellation. If notice of cancellation is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.
2. The **Named Insured** may cancel this Policy at any time and for any reason by delivering such written instructions to the **Insurer** by mail or electronic mail at the address shown in Item 8 of the Declarations. If this Policy is canceled for any reason prior to the end of the **Policy Period**, the **Insurer** shall refund the unearned premium computed pro rata. No premium will be refunded where any **Claim** or circumstance has been notified under this Policy, whether or not a coverage determination has been made.
3. The **Insurer** may elect not to renew this Policy by mailing or delivering written notice of nonrenewal to the **Named Insured** at its address stated on Item 1 of the Declarations at least sixty (60) days prior to the expiration of the **Policy Period**. If notice of nonrenewal is mailed, proof of mailing or delivery will be satisfactory proof of notice.

D. Other Insurance

This Policy is excess over, and will not contribute with, any other valid and collectible insurance (or other indemnity) available to the **Insured**, except if such other insurance is specifically written to apply in excess of this Policy. This Policy applies to **Loss** that exceeds the available limit and any retention amount of any other insurance available to the **Insured**. This Policy will not be subject to the terms of any other insurance policy. Notwithstanding any of the foregoing, INSURING AGREEMENT I.B.1. Breach Response and Insuring Agreement I.B.2. Cyber Extortion and Ransomware shall provide primary coverage.

If other insurance includes coverage for otherwise covered **Loss** incurred within the applicable Retention, this Policy will recognize the erosion of the Retention despite such coverage.

If any **Loss** or any other amounts insured under this Policy are also potentially insured under any other policy or policies that the **Insured** has purchased, the **Insured** shall provide the **Insurer** with the details of such other insurance as soon as practicable.

E. Change of Control

If during the **Policy Period**:

1. the **Named Insured** consolidates with, merges into, or sells all or substantially all its assets to any person, entity or group of persons, or entities acting in concert; or
2. any person or entity or group of persons or entities acting in concert shall acquire **Management Control** of the **Named Insured**,

(each a "transaction"), then:

- a. this Policy shall continue in full force and effect until the end of the **Policy Period** but only as to any **Privacy and Security Incident, Information Security Breach, Multimedia Wrongful Act, Extortion Event** and **Ransomware Threat** that occurred, or **Events** first **Discovered** by a member of **Management**, prior to the effective date of such transaction;

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- b. The **Named Insured** may elect to cancel this Policy effective as of the transaction date by providing written notice to the **Insurer** within thirty (30) days after the effective date of such transaction. If cancelled, the **Insurer** shall refund the unearned premium computed pro rata from the transaction date, provided no **Claims** or **Events** have been reported under this Policy; and
- c. the **Named Insured** shall be entitled to receive a quote for a period of up to the number of years set forth in Item 4 of the Declarations for an extension of coverage "Run-Off Coverage" solely for any **Privacy and Security Incident, Information Security Breach, Multimedia Wrongful Act, Extortion Event** and **Ransomware Threat** that occurred, or **Events** first **Discovered** by a member of **Management**, prior to the effective date of such transaction. Coverage offered pursuant to such quote shall be subject to additional or different terms and conditions and payment of an additional premium. Any Run-Off Coverage purchased shall replace the **Extended Reporting Period** that would be available to an **Insured** pursuant to Section IX.G. Extended Reporting Period.

F. Newly Acquired or Formed Entity and Cessation of a Subsidiary

1. Newly Acquired or Formed Entity

If during the **Policy Period**, the **Named Insured** acquires **Management Control** of any entity or creates a new entity, such entity will be automatically covered as a **Subsidiary**, but only with respect to **Privacy and Security Incidents, Information Security Breaches, Multimedia Wrongful Acts, Extortion Events** or **Ransomware Threats** that occurred or **Events** first **Discovered** by a member of **Management**, after such entity qualifies as a **Subsidiary**, subject to the following conditions:

- a. for entities whose gross annual revenues do not exceed 20% of the **Named Insured's** combined gross annual revenues as of the effective date of this Policy, coverage is automatic and no additional premium is required.
- b. for entities whose gross annual revenues exceed 20% of the **Named Insured's** combined gross annual revenues as of the effective date of this Policy, coverage is provided for ninety (90) days from the date of acquisition or creation. To maintain coverage beyond this 90-day period, the **Named Insured** must:
 - i) provide written notice with full particulars of the entity to the **Insurer** within the 90-day period;
 - ii) pay any additional premium required by the **Insurer**; and
 - iii) agree to any additional terms or conditions imposed by the **Insurer**.
- c. for any entity qualifying under paragraphs **a.** or **b.** above,
 - i) the entity has substantially similar business operations to the **Named Insured**; and
 - ii) prior to the acquisition or creation, no member of **Management** of the **Named Insured** or the entity knew or could have reasonably foreseen that a **Claim** would be made or coverage would be triggered under this Policy.

If these conditions are not met, coverage for such entity shall cease ninety (90) days after the date of acquisition or creation.

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This provision does not apply to any entity acquired or created before the inception date of this Policy. Such entities are only covered if they meet the definition of **Subsidiary** and were included in the **Application** for this Policy.

2. Cessation of a Subsidiary

If, during the **Policy Period**, an entity no longer meets the ownership or control requirements stated above then that entity will cease to be a **Subsidiary** on such date during the **Policy Period**, and there will be no coverage for such entity for any **Claim**, **Extortion Event** or **Ransomware Threat** first made or **Event** first **Discovered** on or after such date the entity ceased to qualify as a **Subsidiary**.

G. Extended Reporting Period

1. Automatic Extended Reporting Period

Automatic Extended Reporting Period In the event this Policy is cancelled or non-renewed for any reason other than for non-payment of premium, the **Insured** shall have the right to an Automatic Extended Reporting Period for a period of sixty (60) days following the effective date of such cancellation or non-renewal. During this Automatic Extended Reporting Period, an **Insured** may report a **Claim** first made against an **Insured** during the Automatic Extended Reporting Period for a **Privacy and Security Incident**, **Cyber Incident**, **Information Security Breach**, or **Multimedia Wrongful Act** that occurred on or after the applicable **Retroactive Date** and prior to the end of the **Policy Period**. This Automatic Extended Reporting Period is not applicable in the event the **Named Insured** has purchased an Optional Extended Reporting Period or an Extended Reporting Period - Change of Control, or the **Claim** is covered under any insurance that is a renewal or replacement of this Policy.

2. Optional Extended Reporting Period

- a. In the event this Policy is cancelled or non-renewed for any reason other than for non-payment of premium, the **Named Insured** may purchase an Optional Extended Reporting Period, subject to the premiums stated in Item 5 of the Declarations. The Optional Extended Reporting Period shall only apply to a **Claim** first made against the **Insured** during the Optional Extended Reporting Period for a **Privacy and Security Incident**, **Cyber Incident**, **Information Security Breach**, or **Multimedia Wrongful Act** that occurred on or after the applicable **Retroactive Date** and prior to the end of the **Policy Period**.
- b. In order to exercise this right, the **Named Insured** must notify the **Insurer** in writing, within 45 days after the effective date of the cancellation or non-renewal of its intention to purchase the Optional Extended Reporting Period. Premium for the Optional Extended Reporting Period will be fully earned on its inception date.

3. Change of Control Extended Reporting Period

- a. In the event of a transaction as described in Section IX.E (Change of Control), the **Named Insured** shall be entitled to purchase an Extended Reporting Period - Change of Control for periods up to those specified in Item 5 of the Declarations.
- b. The Extended Reporting Period - Change of Control shall only apply to a **Claim** first made against the **Insured** during such period for a **Privacy and Security Incident**, **Cyber Incident**, **Information Security Breach**, or **Multimedia Wrongful Act** that occurred on or after the applicable **Retroactive Date** and prior to the effective date of the transaction described in Section IX.E.
- c. In order to exercise this right, the **Named Insured** must notify the **Insurer** in writing within 45 days after the effective date of the transaction of its intention to purchase the Extended

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Reporting Period - Change of Control. Premium for the Extended Reporting Period - Change of Control will be as specified in Item 5 of the Declarations and will be fully earned upon inception.

4. The Insuring Agreement Limit(s) for the Automatic Extended Reporting Period, the Optional Extended Reporting Period, and the Extended Reporting Period - Change of Control, if applicable, shall be part of, and not in addition to, the Insuring Agreement Limit(s) for the **Policy Period**.

H. Representations and Warranties

The **Insureds** represent and acknowledge that the statements, representations, and information contained in the **Application** are true and complete and are deemed to be incorporated into and a part of this Policy. This Policy has been issued in reliance on the truth and completeness of such statements, representations, and information.

There will be no coverage under this Policy for any **Claim, Event, Extortion Event, Ransomware Threat** or **Loss** arising out of or involving any misrepresentation or untrue, inaccurate, or incomplete statement that was made with the intent to deceive the **Insurer**.

I. Spouses, Domestic Partners, and Estate, Legal Representatives

In the event of a natural person **Insured's** death, incapacity, or bankruptcy, any **Claim** made against such natural person **Insured's** spouse, domestic partner, estate, and legal representative will be covered under this Policy, but only to the extent such natural person **Insured** would otherwise be provided coverage under this Policy.

J. Action Against Insurer

No action shall lie against the **Insurer** unless, as a condition precedent thereto, the **Insured** has been in full compliance with all terms of this Policy, nor until the amount of an **Insured's** obligation to pay has been finally determined either by judgment or award against an **Insured** after legal proceedings or written agreement of the relevant parties. No person or entity shall have any rights under this Policy to join as a party to any action against any **Insured** to determine such **Insured's** liability, nor shall the **Insurer** be impleaded by such **Insured** or the legal representatives of such **Insured**.

K. Assignment

This Policy and all rights hereunder are not assignable without the **Insurer's** prior written consent.

L. Entire Agreement

By acceptance of this Policy, all **Insureds** and the **Insurer** agree that this Policy (including the Declarations and **Application**) and any written endorsements attached hereto constitute the entire agreement between the parties. The terms, conditions, limitations and exclusions of this Policy can be waived or changed only by written endorsement hereto.

M. Authority

The **Named Insured** acts on behalf of all other **Insureds** for the purposes of providing and receiving written notices, including those for cancellation or nonrenewal, purchasing an **Extended Reporting Period**, as well as the payment or return of premium.

N. Territory Coverage

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Coverage afforded under this Policy applies anywhere in the world, and any reference to laws, however described, shall include all U.S. federal, state and local statutory laws, all amendments to and rules and regulations promulgated under any such laws, common law, and any equivalent body of law anywhere in the world, unless specifically stated to the contrary.

O. Economic and Trade Sanctions

Payment under this Policy will not be made if it violates or exposes the **Insured** or **Insurer** to any sanction or restriction under United Nations resolutions or the trade or economic sanctions or laws of the European Union, United Kingdom, and the United States, including, but not limited to, sanctions, laws and regulations administered and enforced by the U.S. Treasury Department's Office of Foreign Assets Control ("OFAC").

P. Bankruptcy

The bankruptcy or insolvency of any **Insured** will not relieve the **Insurer** of any of its obligations under the Policy nor deprive the **Insurer** of any rights or defenses under this Policy.

Q. Headings

The titles, headings, and subheadings in this Policy are included solely for ease of reference and do not in any way limit, expand or otherwise affect the terms and conditions of coverage.

R. State Amendatory Inconsistency

If there is an inconsistency between a state amendatory endorsement attached to this Policy and any other term or condition of this Policy, where permitted by law the **Insurer** shall apply those terms and conditions either of such state amendatory endorsement or the Policy which are more favorable to the **Insureds**; provided that, with respect to any time period relating to notice of cancellation or non-renewal, the **Insurer** shall apply the applicable state law.

S. Currency

All premiums, Limits, Retentions, and other amounts under this Policy are expressed and payable in the currency of the United States of America. If judgment is rendered, settlement is denominated, or another element of **Loss** under this Policy is stated in a currency other than the United States of America dollars, payment under this Policy shall be made in United States dollars at the applicable rate of exchange as published in The Wall Street Journal as of the date the judgment is reached, the amount of the settlement is agreed upon, or the other element of loss is due, respectively, or if not published on such date, the next date of publication of The Wall Street Journal.